

Screening of Shariah Compliant Stocks

The case study of Bombay Stock Exchange (BSE)

**TAQWAA ADVISORY AND SHARIAH INVESTMENT SOLUTIONS (P) LTD
(TASIS)**

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Abstract

Islamic Finance has evolved significantly in the last four decades. One of the booming area in Islamic Finance is Islamic Capital Market. The Islamic Finance practices in Indian Capital Market have seen remarkable development in the recent years. This project gives the brief introduction to the concept of Islamic Finance and Islamic Capital Market in India. This project focuses mainly on the **Shariah screening methodologies for Shariah compliant companies**. Shariah screening methodology formulated by the **Taqwaa Advisory and Shariah Investment Solutions (P) Ltd (TASIS)** is to assist ethical and Shariah conscious investors in identifying Shariah compliant stocks. This is to ensure that their investments are in accordance with Shariah principles which prohibit the elements of riba, maysir, gharar and other unlawful business activities. This project discuss the rationale behind the selected Shariah screening parameters and compares the Shariah screening methodology performed by **TASIS** with other global standards. The main objective of this project is to discuss the complete Shariah stock screening process performed by **TASIS** for the companies listed in **Bombay Stock Exchange (BSE)** for the month of February' 2016. The results showed that 18% of the companies listed in BSE were finalised as Shariah compliant for the month of February' 2016.

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CHAPTER 1: INTRODUCTION

1.1 INTRODUCTION

The term “**Finance/financing**” can be defined as “the task of providing necessary funds required by the business entities (like firms, companies, individuals, etc.) to achieve their economic objectives or benefits. The core function of the finance is the procurement of funds and their effective utilization in business concerns”.

Business concern needs finance to meet their economical requirements in the economic world. Any kind business activity is depends on the Finance. Finance can be classified in to two major parts:

- Private Finance,
- Public Finance.

Private Finance includes the Individuals, Firms, Corporate or Business financial to meet their economic requirements/ objectives.

Public finance concerns with the revenue and disbursement of the governments such Central Government, State Government and Semi-Government Financials.

Capital Market, Investment Banking, Mutual Funds, and Venture Capital Funds (VCF), etc are the well-known institutions that channel the flow of funds from fund providers to the fund seekers.

Capital Market, A platform to trade, buy and sell equity or debt instruments. Capital markets channel savings and investment between suppliers of capital such as retail investors and institutional investors, and users of capital like businesses, government and individuals.

Capital markets are vital to the functioning of an economy, since capital is a critical component for generating economic output. Capital markets include primary markets, where new stock and bond issues are sold to investors, and secondary markets, which trade existing securities. In India there are 23 stock exchanges. Out of those 23 Bombay Stock Exchange (BSE) is one of the biggest one.

The Global financial system has been dynamically updating. There are new financial concepts emerging on global financial market. Among them is Islamic Finance. Islamic Finance can be referred as a system that can comply with the rules and regulations defined in Shariah.

Islamic Finance, despite its name, is not a religious product. It is however a growing series of financial products developed to meet the requirements of a specific group of people. Unlike conventional finance, Islamic Finance does not deal in interest (Riba) which is prohibited under Shariah. It also include certain ethical principles to safeguard the interest of the Society and minimises the exploitation within the financial transactions (system).

The ultimate objective of Islamic Financial System is to contribute to the nation's economic development and prosperity within abiding the principles of ethics and justice. Similar to the Conventional Finance, Islamic Finance too offer its services through various institutions such as Retail banking, Investment banking, Islamic Insurance (Takaful), Islamic Capital Market, etc.

The Islamic Finance practices in Indian Capital Market have seen remarkable development in the recent years. The performance of Shariah indices in the Indian capital market will ensure the Islamic finance practices in India. BSE TASI Shariah Index, S&P 500 Shariah Index, CNX Nifty Shariah Index and CNX 500 Shariah Index are important Shariah indices in the context of Indian capital market.

1.2 NEED FOR STUDY

In India there has been a notable development in the practices of Islamic Finance, especially in Indian Capital Market. Hence, the objective of the current study is to understand the practices of Islamic finance with respect to Capital Market in India.

1.3 STATEMENT OF THE PROBLEM

1. How Islamic Finance practices are integrated in Indian Capital Market?
2. What are the parameters considered for Shariah screening of Stocks by TASI?
3. How Shariah Screening Process carried on the Stocks listed on BSE?
4. How effective the screening process of TASI compared to global standards?

1.4 OBJECTIVES OF THE STUDY

1. To understand the Islamic Finance concepts.
2. To know the various Shariah Screening Parameters.
3. To understand the Rationale behind the selected Shariah Screening Parameters.
4. To understand the Shariah screening process of TASI.
5. To have a practical exercise of Shariah Screening Process.

6. To have comparative study of TESIS Shariah Screening Standards and with the global Shariah Screening standards.

1.5 METHODOLOGY ADOPTED

1.5.1 Data Collection

- **Primary:** Primary data is collected through personal discussion with the Experts available at TESIS.
- **Secondary:** Secondary data include the information collected from the financial reports, books, articles, websites and other sources.

1.6 SCOPE OF THE STUDY

The scope of the study is limited to the Shariah Screening of the Stocks listed on BSE. The current study primarily considers the Shariah Screening norms and Shariah screening process adopted by TESIS.

1.7 PERIOD OF THE STUDY

The study period of this paper is from “**March to May 2016**” for MBA final year project in the topic “*Screening process of Shariah Compliant Stocks: The case study of Bombay Stock Exchange (BSE)*” by working for the organisation “**TAQWAA ADVISORY AND SHARIAH INVESTMENT SOLUTIONS (P) LTD (TESIS)**”.

1.8 LIMITATIONS OF THE STUDY

The present study has the following limitations,

- The present study concentrates only on Screening process of Shariah compliant stocks,
- The study has taken into account only 5462 companies listed in Bombay Stock Exchange (BSE),
- Only one Stock Exchange has taken Bombay Stock Exchange (BSE) in the present study,
- Study period covers three months only.

1.9 ORGANISATION OF THE STUDY

The report of this study includes the following 7 chapters namely:

Chapter 1

This chapter gives an introduction to the Project. It discusses in brief about the concept of finance and the emergence of Islamic Finance. It also put forward the need for the study, statement of the problem and objectives of the study, method and limitation of the study.

Chapter 2

This chapter deals with the literature review on the topic/study/subject. It helps in finding out the various researches done on the topic as well as the research gaps in this area.

Chapter 3

This chapter provides the company profile of TAQWAA ADVISORY AND SHARIAH INVESTMENTS SOLUTIONS (P) LTD (TASIS).

Chapter 4

This chapter gives the clear view about the concept of Islamic Finance, its principles, Islamic contracts, how Islamic Finance is different from the Conventional Financial System with the brief introduction to components of Islamic Finance Industry.

Chapter 5

This chapter provides a detailed introduction to Islamic Capital Market (ICM), instruments of ICM and the key differences between the Islamic Capital Market and Conventional Capital Market. It provides a brief information on Global Islamic Capital Market. It also provides the information on the Islamic Capital Market practices integrated in Indian Capital Market.

Chapter 6

This chapter deals in detail about the process of Shariah stock screening and Purging adopted by TASIS.

Chapter 7

This chapter gives the details of findings, suggestions and conclusions.

CHAPTER 2: LITERATURE REVIEW

2.1 LITERATURE REVIEW

The context of Islamic Capital Market in India is in budding stage and gradually growing around the world in the last two decades. The existing literature in the field of Islamic Finance and Investments is limited especially in the development of Islamic Capital Market. However, the available literature is presented here to give a clear picture about the performance of Shariah Compliant Stocks in Capital Market at the global level and Indian perspective.

Abdullah, Bacha Halal, (2001)¹ “Stock Designation And Impact On Price and Trading Volume”. This paper examined the impact of inclusion and detection of the stocks in the Shariah index on return and trading volume of the Shariah stocks in Malaysia. The employed event study methodology for daily closing prices and trading volume of the Shariah stocks during 1997 to 1999. The study found that inclusion of the stocks in the Shariah index increased the returns and trading volume and exclusion of the stocks reduced the returns and trading volume of the Shariah stocks in Malaysia.

M. H. Khatkhatay, Shariq Nisar, (2007)² “Shariah Compliant Equity Investments: An Assessment of Current Screening Norms”. This paper points out the view of the importance of the equity investments and assessing the three major screening norms. According to the authors, in Islamic Finance (Islamic Capital Market), the preferred Islamic investment format is equity. However equity comes along with ownership. Hence Islamic investors have to ensure that the selected company’s activities and structuring are not repugnant to Shariah norms. Due to necessities of modern business and particularly the pervasiveness of interest transactions, fully Shariah-compliant equities are extremely rare. So, Shariah scholars have arrived at minimum compliance criteria which, while excluding companies in gross violation, yet provide investors a reasonably wide choice of Shariah-compliant equities. The authors have reviewed and compared the norms set by three organizations (Dow Jones Islamic Index USA, Securities and Exchange Commission (SEC) Malaysia, Meezan Islamic Fund, Pakistan). A critical and analytical assessment of the different criteria follows. Empirical data of the Bombay Stock Exchange is used to assess the impact of the different norms. Based on the empirical results and analytical arguments and in the backdrop of an Islamic perspective, an independent set of norms is proposed, which better reflect the objectives of formulating Shariah compliance norms.

Ulrich Derigs, Shehab Marzban, (2008)³ “Review and analysis of current Shariah compliant equity screening practices”. This paper compares the Shariah Investments screens for different Indices and Funds. The study finds that there is a small deviation among the Shariah Investment principles in different indices like Dow Jones Islamic Index Group, the Financial Times Islamic Index Series, the Standard & Poor’s Islamic Index Group, the Morgan Stanley Capital International Islamic Index Series (MSCI), Dubai Islamic Bank, the HSBC Amanah Fund, the Meezan Islamic Fund, the Amiri Capital Islamic Fund, and the Azzad Islamic Fund.

Azhar Abdul Rahman, Mohammed Azlan Yahya, Mohammed Herry, et al (2010)⁴ “Islamic norms for stock screening: A comparison between the Kuala Lumpur Stock Exchange Islamic Index and the Dow Jones Islamic Market Index”. The purpose of this paper is to compare the criteria used among Islamic Indices, specifically between the Kuala Lumpur Stock Exchange Shari’ah Index (KLSESI) and the Dow Jones Islamic Market Index (DJIM) in screening a permissible company for investment purposes. The two criteria examined are: level of debt and level of liquidity of company. The paper investigates the 642 companies listed on the Bursa Malaysia in 2006 as approved Shariah’s compliant companies by the Shari’ah Advisory Council of the KLSE. Overall, the results reveal that the KLSESI does not use both the criteria set by the DJIM as its measures during the screening process. As for the level of debt criterion, the results show that 44.07 percent of the companies listed under the KLSESI are effective.

Cognizant 20-20 Insights, (2012)⁵ “Sharia Stock Screening: A Fund Manager’s Conundrum”. This report from Cognizant directs about the Sharia-compliant Islamic equity fund as an integral part of the Islamic wealth management bouquet. Unlike a conventional equity mutual fund, managers must focus on investing ethically in businesses which comply with the Islamic law, or Sharia. It discusses various Islamic screening methods followed by stock indices and banks, namely Dow Jones Islamic Market Index (DJIMI), FTSE Global Islamic Index Series, S&P 500, MSCI (Morgan Stanley Capital International) and Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI).

Noor Latiffah Adam, Nordin Abu Bakar, (2012)⁶ “Shariah Screening Process in Malaysia”. This paper provides a brief introduction about the Shariah screening process in Malaysia. This paper will discuss the criteria, processes as well as the tediousness involved in

the screening for Shariah compliant and proposed the possible solution to be undertaken to assist in the Shariah screening process.

Malaysia International Islamic Finance Centre MIFC – Insights (2013)⁷ “Shariah Screening Methodology: Adopting a Two-Tier Quantitative Approach”. This report gives an insight into the revised Shariah screening methodology proposed /adopted by the Securities Commission. The updated methodology include a two-tier quantitative approach namely streamlined business activity benchmarks and the newly introduced financial ratio. In the opinion of the authors due to the revised methodology the competitiveness of the Malaysian Islamic equity market and Islamic fund management industry is expected to increase and it may further help in expanding its reach in international markets.

Gholamreza Zandi, Dzuljastri Abdul Razak, et al, (2014)⁸ “Stock Market Screening: An Analogical Study on Conventional and Shariah-Compliant Stock Markets”. This research paper is about Benchmarking Shariah-Compliant stocks listed in Bursa Malaysia, this paper examined whether the stocks which are approved by SACSC are also considered as Shariah-Compliant under International Indices. 35 top Shariah-Compliant stocks listed in Bursa Malaysia were examined against four stock screening criteria of DJIM, MSCI, FTSE and S&P. Due to the differences in stock screening criteria, the factors evaluated that lead to variances in Shariah-Compliant status for a particular stock. The high debt and low market capitalization are the main factors of dropping the Malaysian Shariah-Compliant stocks by the four Indices. The three stages of screening which carry the most Islamic stock screening process include screening on industry, income statement and balance sheet.

Yunieta Nainggolan, Janice How, Peter Verhoeven, (2014)⁹ “Ethical Screening and Financial Performance: The Case of Islamic Equity Funds”. This paper states whether ethical screening affects portfolio performance is an important question that is yet to be settled in the literature. This paper aims to shed further light on this question by examining the performance of a large global sample of Islamic Equity Funds (IEFs) from 1984 to 2010. This paper finds that IEFs underperform conventional funds by an average of 40 basis points per month, consistent with the underperformance hypothesis. In line with popular media claims that Islamic funds are a safer investment, IEFs outperformed conventional funds during the recent banking crisis.

Shafiqur Rahman, (2015)¹⁰ “Ethical Investment in Stock Screening and Zakat on Stocks”. This paper examines how Muslim investors can invest in the contemporary stock market in a way completely compatible with the letter and spirit of divine Islamic law or Shariah, and how Islamic investment is considered for zakat - a religious obligation to donate to the poor and needy a certain percentage of wealth. This paper discusses a qualitative screening process to identify stocks of companies that are engaged in business or activities permissible (halal) in Islam, and a quantitative screening process utilizing financial ratio analysis to allow companies in permissible business to use a tolerable level of interest-bearing securities and associated interest income and expenses. Stocks of companies passing these tests are designated as Shariah-compliant stocks or halal investments and these stocks form the investment opportunity set for Muslim investors.

Christos Alexakis, Vasileios Pappas, et al, (2015)¹¹ “Long Run asymmetric relationships between Islamic and conventional equity indices”. This paper explore about the interconnectedness between Islamic and conventional equity indices during the period spanning from 2006 to 2010. The Dow Jones Islamic Market is representative of the Islamic equity market, while the Dow Jones Global and Dow Jones Industrial Average are well perceived equity benchmark indices. The finding is tied to the Islamic index’s performance and diversification benefits, particularly during the financial crisis. It may be further linked to investors’ embracing of Islamic finance principles on lower leverage and speculation practices.

Umayal Kasi, Dr. Junaina Muhammad, (2016)¹² “Strict and Uniform Shariah Screening Methodologies in Selected Asian Countries in Comparison with the United States”. This paper focuses mainly on the Shariah screening methodologies for Shariah-Compliant firms. This paper compares the Shariah screening methodologies which are used in selected Asian countries and the United States. In order to include the analysis of the new benchmark introduced in Malaysia as part of this study, the timeline used in this paper is from November 2013 until November 2014. It can be found that there are similarities and differences between the various Shariah screening methodologies in all the 5 countries, in terms of feasibility, duration, economic viability and fund requirements. On the whole, the results point towards the possibility of generalising the implementation of strict and uniform Shariah screening methodologies within all the country-specific Shariah Indices amongst Muslim nations, globally.

CHAPTER 3: COMPANY PROFILE OF TESIS

3.1 COMPANY PROFILE

TAQWAA ADVISORY AND SHARIAH INVESTMENT SOLUTIONS (P) LTD. (TESIS) was founded by a group of finance and investment professionals who realized the need for a credible organization for providing guidance and support to individuals and corporates having an interest in the nascent but highly potential Islamic finance industry in India. As the name suggests, it is an organization providing Shariah advisory and investment solutions in India, while operating within the Indian legal framework.

TESIS is India's premier Shariah advisory institution in the field of Finance. It has India's best Shariah Finance professionals associated with it. TESIS is also proud to have some of India's best Shariah scholars on its Board.

TESIS derives strength from its deep-rooted belief in Shariah values and the commitment of its people to Shariah in letter and spirit. Its Shariah scholars are known for their pragmatic but firm approach towards Shariah and its application in day-to-day life. It strives for quality in its work seeking to deliver value and excellence to its clients. This approach has helped TESIS earn many prestigious clients in India without diluting its credibility and reputation for adhering to Shariah principles.

Its aim is to help Indian corporates and entrepreneurs to realize their commercial potential while following Shariah principles in the truest sense. It also advocates and works towards increased business interactions and seeks to promote joint ventures between India and the Middle East.

3.2 VISION

To become the leading provider in India of Shariah advice and Shariah investment solutions in terms of:

- Compliance with Shariah,
- Innovativeness in product structuring,
- Responsiveness to client needs, and
- Range of clientele.

3.3 MISSION

To establish in India an institutional framework which will provide the lay public, professional investors, industrial units, commercial establishments, service industries and

government and quasi government authorities’ authentic Shariah guidance and assistance in operationalising the same. By setting practicable Shariah compliant standards and elaborating Shariah compliant financial structures in different business spheres enable prevailing commercial transactions and schemes to be independently and objectively evaluated, monitored and rated and thereby provide a regime to differentiate between schemes of varying Shariah compliance.

To educate society of the beneficial effects of adopting Shariah Finance principles, practices and work towards the general acceptance of such principles and practices by Muslims specifically and the public at large generally.

3.4 CORE TEAM

NAME	DESIGNATION	EDUCATION
Mr. Mohammed Hussain Khatkhatay	Director & Senior Advisor	B.Tech, M.B.A.
Mr. Jamil Ahmed Shaikh	Director: Finance & Administration	B.Com, F.C.A., DISA [ICAI]
Mr. M.Z. Rehman	Director: Public Relations	B.A., D.LL. M.B.A.
Mr. Zaffar Abbas	Director: Middle East	B.Com.
Mr. S M Wasiullah	Manager: Operations & Research	MBA (Finance), Pursuing Ph.D. (Islamic Finance)
Mr. Mohammed Shaqil	Executive: Stock Screening and Research	Post-Graduation Diploma in Islamic Banking and Finance
Mr. Ahmed N Shaikh		MBA in Finance and International Business
Mr. Zaheer Khan		B.Com.

3.5 SHARIAH BOARD

Members of TASIS Shariah Board are highly qualified and have vast exposure in the field of fiqhul mu’amalat (commercial transactions). Apart from India, our Board members provide Shariah consultancy services in the continents of Europe, North America and Africa.

3.5.1 Members of Shariah Board

❖ **Mufti Abdul Kadir Barkatulla**

A graduate of Darul Uloom Deoband, Mufti Barkatulla has an equally strong background in Economics and Finance. He is a member of the Shariah supervisory boards of several UK based financial institutions such as Islamic Bank of Britain, United National Bank, Lloyds TSB, Alburaq of ABC Bank International (UK) and others. Mufti Barkatulla has been commended by the British Parliament for his immense contributions to the Islamic Finance sector of UK.

❖ **Mufti Khalid Saifullah Rahmani¹**

Mufti Khalid is General Secretary of Islamic Fiqh Academy, India and also a founding member of All India Muslim Personal Law Board. He is founder Director of The Institute of Higher Learning in Islam, Hyderabad. He has written more than 50 books on a wide range of topics and pioneered more than fifteen institutions of Islamic education, research and jurisprudence across the country. His wide reach and broad outlook has made him respectable across wide sections and sects of the Muslim community in India.

❖ **Dr. Hafiz Mohammed Iqbal Masood Al-Nadvi²**

Dr. Nadvi is a doctorate in Islamic jurisprudence (Fiqh) from Ummul Qura University, Makkah. He has been Asst Prof. at King Saud University Riyadh for six years. He has taught Shariah for over two decades in various institutes and is currently Director of Al-Falah Islamic Centre, Oakville, Ontario and Chairman, Shariah Board, Canada. For his expertise in Islamic Finance Dr Nadvi has been invited by Harvard Law School, London School of Economics and many other prestigious institutions.

3.5.2 Shariah Certification Process

The process of Shariah certification starts with the willingness of the client to structure the business in a Shariah tolerant manner. During the initial discussion TESIS focuses more on objectives, methodology and legal issues involved in structuring the product.

After being satisfied of the legal and economic viability of structuring the operation or product in a Shariah tolerant manner, TESIS prepares an Initial Shariah Assessment Report (ISAR) which identifies the Shariah issues, weaknesses and strengths of the product.

¹<http://www.khalidrahmani.com/>

²http://en.wikipedia.org/wiki/Iqbal_Masood_Nadvi

The client is informed of necessary actions, amendments and revisions in the proposal to ensure Shariah compliance. The revisions and amendments are then discussed in detail with the Shariah Board members to ensure that the product and its methodology are fully in alignment with Shariah precepts.

On obtaining clearance from the Shariah Board TASIS proceeds with assisting the client in preparation of the legal documentation. The last stage involves final approval of our Shariah Board followed by a Fatwa in favour of the product or operations of the client.

3.6 SERVICES

Taqwaa Advisory and Shariah Investment Solutions (P) Ltd (TASIS) broadly provides the following services:

- Shariah Advisory,
- Shariah Screening,
- Purging of impure income,
- Shariah Supervision & Audit,
- Product Structuring, and
- Courses on Islamic Capital Market

The following list of companies or sectors which can avail TASIS services,

- Investment Banks,
- Financial service companies,
- Asset Management Companies,
- Non-Banking Finance Companies,
- Micro Finance Companies,
- Insurance Companies,
- College, Universities & Other Educational institutions,
- Private Equity Funds,
- Venture capital companies,
- Real estate developers,
- Legal, auditing and Consultancy firms,
- Government and semi government bodies and institutions,
- Non-government Organisations (NGOs) and Trusts.

3.7 CLIENTS AND ASSOCIATES OF TASIS

Taqwaa Advisory and Shariah Investment Solutions (P) Ltd (TASIS) has its own prestigious clients of the Industry. To name few,

- Bajaj Allianz,
- Bombay Stock Exchange (BSE),
- Calcutta Stock Exchange (CSE),
- Cheraman Financial Services Ltd,
- Daimler Financial Services,
- General Re-Insurance Solutions (GIC-Re),
- National Stock Exchange (NSE),
- Takaful International,

Also TASIS have been associated with some leading organisations like National Stock Exchange (NSE), Bombay Stock Exchange (BSE), Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) and Centre for Monitoring Indian Economy (CIME). This shows the excessive performance of TASIS in the Islamic Finance Industry.

CHAPTER 4: THOERY AND PRACTICES OF ISLAMIC FINANCE

4.1 INTRODUCTION

The Islamic Financial System broadly refers to financial market transactions, operations and services that comply with the Shariah (the Islamic rules, principles and codes of practices). Shariah governs all aspects of Islamic matters including faith, worship, and economic, social, political and cultural aspects of Islamic societies.

The rules and laws are derived from three important sources, namely the **Holy Quran** (the holy book of the religion of Islam), **Sunnah** (the practice and tradition of the Prophet Muhammad s.a.w.) and **Ijtihad** (the reasoning of qualified scholars). Further elaboration and interpretation of the rules dictated by the Holy Quran and Sunnah are provided by qualified scholars in Islamic jurisprudence via ijihad or an interpretative process which is carried out within the framework of Quran and Sunnah. It is to be noted that Quran and Sunnah are the primary sources of Islamic law (Shariah) whereas Ijtihad is the secondary source.

Modern Islamic financial products and services are developed using two different approaches. The first approach is by identifying existing conventional products and services that are generally acceptable to Islam, and modifying as well as removing any prohibited elements so that they are able to comply with Shariah principles. The second approach involves the application of various Shariah principles to facilitate the origination and innovation of new products and services.

Islamic law on commerce is known as fiqh al-mu'amalat. Much of the laws, rules and interpretations of Shariah takes into consideration issues of social justice, equitability, and fairness as well as practicality of financial transactions. In general, the Shariah legal maxim in relation to commercial transactions and contracts state, "they are permissible unless there is a clear prohibition."³.

The Shariah declare a certain type of activities in the financial and business matters to be prohibited. While Muslims undertaking financial transactions are encouraged to use financial services avoiding such activities. In a nutshell, prohibited elements of a commercial transaction must first be removed for it to be Shariah-compliant.

³ Mohammad Hashim Kamali (Prof.Dr), Islamic Commercial Law, Cambridge: The Islamic Texts Society, 2000, p.66; Yusuf alQaradawi (Prof.Dr.), The Lawful And The Prohibited In Islam, Kuala Lumpur: Islamic Book Trust, 1985, p. 14

The major prohibited elements under Shariah are,

- Riba (interest),
- Gharar (uncertainty),
- Maysir (gambling),
- Non-halal (prohibited) food and drinks and immoral activities.

These are elaborated further below:

4.1.1 Prohibition of Riba

Riba has the literal meaning of “**an excess**” and is defined as an increase or excess which accrues to the owner in an exchange or sale of a commodity, or, by virtue of a loan arrangement, without providing equivalent value to the other party.

More precisely there are two categories of **Riba Qurudh** and **Riba Buyu**. **Riba Qurudh**, in its application to modern financial transactions, occurs through loans. The prohibition of Riba Qurudh relates to any fixed or predetermined rate of return tied to the maturity and the amount of principal (i.e., guaranteed regardless of the performance of the investment).

The general consensus among Shariah scholars is that Riba covers not only usury but also the charging of “interest” as widely practised. However, the lending activities or loans are still allowed in Islam through the concept of Qardh Hasan. This type of lending is a contract of loan between two parties on the basis of social welfare or to fulfil a short-term financial need of the borrower. The amount of repayment must be equivalent to the amount borrowed.

On the other hand, **Riba Buyu** occurs through the sale and purchase of six Riba’s commodities (i.e., gold, silver, dates, wheat, barley and salt). The transaction of Riba’s commodities is required to adhere to the following conditions:

- a) In trading commodities of the same group and kind, such as gold for gold or dates for dates; two conditions must be fulfilled, i.e., both commodities must be exactly equivalent and there must be prompt delivery.
- b) In trading commodities of the same group but of different kinds, such as gold for silver, or wheat for barley, there is only one condition, i.e., the promptness in delivery is not a condition.
- c) In trading commodities of different groups and kinds, such as gold for wheat, or silver for barley; no condition is imposed and free trading can exist, whether there is equality, inequality, promptness or delay.

Thus, Islam encourages the earning of profits but forbids the charging of interest. Profit represents successful entrepreneurship and the creation of additional wealth through the utilisation of productive assets, whereas interest is deemed as a cost that is accrued irrespective of the outcome of business operations and may not create wealth if there are business losses. Social justice under Shariah requires borrowers and lenders to share rewards as well as losses equitably and that the process of wealth accumulation and distribution in the economy be fair and representative of true productivity.

4.1.2 Prohibition of activities with elements of Gharar (excessive-uncertainty)

Gharar is defined as activities that have **elements of excessive-uncertainty, ambiguity or deception**. In a commercial transaction, it refers to either the uncertainty of the goods or price of goods, or deceiving the buyer on the price of goods.

An element of Gharar is considered a normal phenomenon in the market if it is not excessive in the contracts and where the effect on the economy and society is considered minimal. This is accepted by Shariah as it would be practically impossible to eradicate this element completely from the market. A large element of Gharar in a commercial transaction, on the other hand, is prohibited according to Shariah as it may affect the legality of a transaction.

There are many examples of Gharar-based transactions like the sale of the offspring in the womb of a pregnant animal, sale of fish in water and birds in the sky. The reason behind the prohibition of these transactions is that the ability of the seller to deliver these items is uncertain. Gharar, in practice, relates to issues such as pricing, delivery, quantity and quality of assets that are transaction based and could affect the degree or quality of consent of the parties to a contract. This lack of knowledge may rise from misrepresentation, mistake, fraud, duress, or terms beyond the knowledge and control of one of the parties to the contract.

4.1.3 Prohibition of Maisir (Gambling) activities

Gambling is referred to as **Qimar or Maisir** in Arabic, which means any activity that involves an arrangement between two or more parties, each of whom undertakes the risk of a loss where a loss for one means a gain for the other, as it is common for gambling activities. The gain accruing from these games is unlawful in Islam, as it diverts the player's attention from productive occupation, and amassing wealth without effort. It is considered an immoral inducement by the person involved in expecting to make a profit at the expense of another party.

In relation to the above, Muslims are also prohibited from having any affiliation to gambling activities including participating, investing or financing any businesses related to, or associated with, the gambling industry.

4.1.4 Prohibition of the production and sale of goods or services that are prohibited in Islam

There are a number of drinks and foods that are prohibited in Islam such as **alcoholic beverages and non-permissible food like pork**. In addition, there are also prohibitions against immoral services such as pornography, prostitution, immoral entertainment and others. In this context, Shariah scholars are of the view that any activity relating to these products and services such as processing, producing, marketing, supplying and selling are also non-permissible.

Therefore, companies, which are involved in or accrue gains from business activities related to these non-permissible activities, would not be deemed as Shariah compliant.

The Islamic financial products are structured on the basis specific type of Islamic finance contract. These Sharia-compliant contracts support productive economic activities.

4.2 ISLAMIC CONTRACTS

A contract is deemed legal and lawful in Islam only if it fulfils the requirements prescribed by Shariah. Islamic finance contracts have been evolving throughout the development of Islamic civilization based on the requirements of society.

Prior to the advent of Islam in Arabia, several types of contract were commonly used by the Arabs to meet their financial and business needs. After its emergence, however, rather than abolishing those contracts altogether, Islam looked into their subject matter and practices. Any contract which was found contradictory to Islamic principles, such as the practice of Riba, was dissolved and declared forbidden.

A few other contracts that were inconsistent with the principles of Islam, but were alterable or modifiable, had gone through the process of modification, by which the contradictory elements were removed and declared lawful, and considered part and parcel of Islamic trade and finance practices. The following are the Islamic contracts based on Partnership, Exchange, Safety and Security.

4.2.1 Contracts of Partnership allow two or more parties to develop wealth by sharing both risk and return:

- **Musharaka (Equity Participation):** This contract creates a joint venture in which both parties provide investment capital, entrepreneurial skills, and labour; both share the profit and/or loss of the activity. Profit can be shared as per the agreement but loss, if any, should be shared in the capital contribution ratio.
- **Mudaraba (Profit-sharing agreement):** One party (rabb-ul maal) provides money or capital to and the other (mudarib) manages the business. , Profit can be shared as per the agreement but loss, if any, should be shared only by the party who contributes capital.

4.2.2 Contracts of Exchange are sales contracts that allow for the transfer of a commodity for another commodity, the transfer of a commodity for money:

- **Murabaha (Trade with mark-up or cost-plus sale):** In this cost plus contract, an Islamic financial institution sells a commodity to a buyer for its cost plus the profit margin, and both parties know the cost and the profit in advance. The buyer makes deferred payments.
- **Salam (Forward Purchasing):** In this forward contract, the buyer (or an Islamic financial institution on behalf of the buyer) pays for goods in full in advance, and the goods are delivered in the future.
- **Istisna (Construction Financing):** This second type of forward sale contract allows an Islamic financial institution to buy a project (on behalf of the buyer) that is under construction and will be completed and delivered on a future date.

4.2.3 Contracts of Safety and Security are often used by Islamic banks; these contracts help individual and business customers keep their funds safe:

- **Wadiah (Safe Custody):** A property owner gives property to another party for the purpose of safeguarding. In Islamic banks, current (checking) accounts and savings accounts are based on the wadiah contract.
- **Hawala (Transfer of Debt):** Debt is transferred from one debtor to another. After the debt is transferred to the second debtor, the first debtor is free from her obligation. This contract is used by Islamic financial institutions to remit money between people.

- **Kafalah (Guarantee):** A third party accepts an existing obligation and becomes responsible for fulfilling someone's liability. In conventional finance, this situation is called surety or guaranty.
- **Rahn (Mortgage):** A property is pledged against an obligation. A customer can offer collateral or a pledge via a rahn contract in order to secure a financial liability.

4.3 SALIENT FEATURES OF ISLAMIC FINANCE

Islamic finance appreciates certain peculiar features that are not found in conventional banking. These features are as follows:

4.3.1 Interest free

Islamic Finance is interest-free, meaning that all the financial activities should be free from any element of interest. In Islamic law, interest can arise when there is an exchange of two similar usurious items or assets such as money for money or main food for main food. Especially in banking, the leading practice from which interest originates is the exchange of money for money, that is, money lending. Conventional banking is based on the lending of money for a premium – interest. Islamic banks avoids interest in all its forms, be it in cash or kind.

4.3.2 The need for underlying assets

Islamic finance requires that all banking business based on sale or lease must have an underlying asset. As the Islamic bank either acts as a seller or a service or usufruct vendor, or lessor, the asset or service is of paramount importance. The absence of an underlying asset will render the contract void.

4.3.3 The avoidance of uncertainty or gambling

All transactions made by Islamic Financial Institutions (IFIs) must be free from elements of uncertainty (Gharar) and gambling (Maisir). This is because Gharar might lead to disputes caused by an unjustified term in the contract arising from misrepresentation and fraud. Gambling is seen as an action that always enriches one party at the expense of the other; a zero-sum-game [a situation in which each participant's gain (or loss) of utility is exactly balanced by the losses (or gains) of the utility of the other participant(s)].

4.3.4 Profit and loss sharing

In Profit and loss sharing, the bank will share the profit made with its customers either on a proportionate basis or on an agreed profit sharing ratio. In the case of a loss, the loss will be borne by the bank under a Mudarabah contract or by both parties proportionately in the case of a Musharakah contract. This concept is in direct contrast to fixed-income-based products. Again, the concept of profit and loss sharing is peculiar to Islamic banking although, strictly speaking, Islamic banking is not an equity market, which is normally represented by the stock market.

4.3.5 Shariah compliance

The central focus of Islamic finance is Shariah compliance. To ensure compliance a distinctive feature of Islamic finance is the establishment of a Shariah advisory or supervisory board to advise IFIs, Islamic insurance companies, Islamic funds and any other providers which offer Islamic financial products. The establishment of a board, the opinions of which are binding on all IFIs, is required to guide the institutions towards Shariah compliance. An institution cannot claim to be doing Islamic financial business until and unless it sets up a Shariah board or committee consisting of qualified scholars who are of high reputation and who possess the necessary skills.

4.3.6 Unlawful goods or services

Another equally important feature is that Islamic finance must not be involved in any activities pertaining to unlawful goods and services. These prohibited goods and services include, among others, non-halal foods such as pork, non-slaughtered animals or animals which were not slaughtered according to Islamic principles, intoxicating drinks, entertainment and pornography, tobacco-related products and weapons. Non-involvement is not only limited to buying or selling but also includes all chains of production and distribution, such as the packaging, transportation, warehousing and marketing of these prohibited goods and services.

4.3.7 Overriding principles of Islamic law

Islamic finance essentially refers to Shariah compliant financial activities. In addition to observing the above-mentioned features, Islamic financial products and services must not contain any principles, terms and conditions which are contradictory to established legal sayings or legal principles. These legal maxims are the overriding principles and essential parameters of Islamic law, widely accepted by Muslim jurists.

An example would be the principle that the capital in equity-based financing or investment cannot be guaranteed by the manager or other partner. An equity contract must be free from capital guarantee to reflect the very essence of equity investment that is equity investors must bear the risk of loss of capital.

4.4 KEY DIFFERENCES BETWEEN CONVENTIONAL FINANCIAL SYSTEM AND ISLAMIC FINANCIAL SYSTEM

Islamic Finance is governed by the rules of Islam. Hence, it cannot finance any transaction that is inconsistent with the rules of Islam. Under Islamic Finance, money is considered to be only a means to carry out a transaction. Islamic Finance does not, and should not, deal with money directly as money cannot earn more money by itself. Money must be put into real business activities to earn extra money. This is the whole basis of trading. Hence, investments are structured so as to exchange the ownership of assets.

By analysing the previous features of Islamic Finance we can easily identify that Islamic Finance will be the perfect alternative for the Conventional financial system. Other than indulging the amount of interest in the business transactions, we can find many differences between Islamic Financial System and Conventional Financial System.

- ❖ **Speculation:** Gharar refers to the sale of probable items whose existence or characteristics are uncertain. Islamic laws prohibit gambling and hence Gharar (risk/uncertainty) in contracts is not allowed. Therefore contracts of speculative nature cannot be entered into under Islamic finance.

Under the conventional financial system there is no prohibition on speculation or gambling.

- ❖ **Prohibited goods:** Any transaction involving goods forbidden by Islam is invalid under Islamic finance.

Conventional finance does not distinguish between allowed and forbidden goods. The only prohibition applicable is that transactions must not violate any law of the state.

- ❖ **Trading in non-existent goods:** Under Islamic finance sale of non-existent things is void. For a valid sale under Islamic finance, the subject matter of the sale must exist at the time of sale. Hence, contracts for goods that will come into existence in future cannot be entered into under Islamic finance.

Conventional finance does not prohibit trading in non-existent goods. The buyer and seller, with mutual consent, can enter into a contract to exchange goods before the subject matter of the sale comes into existence.

- ❖ **Ownership of the subject of the trade:** Under Islamic finance the seller must be the owner of the subject being exchanged under the sale. Hence, a person cannot make a sale without owning the subject of the sale. A transaction in which the seller has made a sale before acquiring ownership of the subject of the sale is void under Islamic finance.

Under conventional finance, a person can enter into a transaction to sell without owning the subject matter. They can acquire the subject matter of the sale after entering into a transaction that promises the acquired goods will be purchased by the third party.

To highlight the key difference between Islamic Finance and Conventional Finance:

Islamic Finance	Conventional Finance
1. Islamic laws denounce receipt & payment of interest.	Receipt & payment of interest are allowed.
2. Prohibition on speculation, i.e. risk contracts not allowed.	No prohibition on speculation.
3. Goods forbidden under Islam are invalid.	No prohibition on goods.
4. Trading in non-existent goods is void.	Trading in non-existent goods with mutual consent of buyer and seller.
5. Transaction before ownership of the subject of trade is void.	Ownership of subject of trade is not necessary.
6. Seller must have the possession of subject of sale.	No restriction on possession of subject of sale.
7. Sale must be instant & absolute.	Sale can be made on future date.

Key difference between Islamic Finance and Conventional Finance

4.5 COMPONENTS OF ISLAMIC FINANCIAL SERVICE INDUSTRY

The Islamic Financial Service Industry that includes Islamic Banking, Islamic Insurance – Takaful and Islamic Capital Market. All the above mentioned sectors are known as the major components of Islamic Financial Industry.

4.5.1 Islamic banking

The emergence of Islamic banking was a result of a revival of interest to develop an Islamic economic system as well as the increasing demand from Muslims worldwide for products and modes of investment that are in compliance with Shariah principles. The pioneering establishment of Islamic banks had been the catalyst for growth and provided the foundation for the development of the Islamic financial services industry as a whole.

Another significant feature of Islamic banks is the requirement for the establishment of Shariah supervisory boards. These boards are responsible for reviewing, scrutinising and endorsing the activities and operations of Islamic banks to ensure that their activities are in line with Shariah principles.

The funding operations are broadly divided into four main types of Islamic bank accounts – current accounts, savings accounts, investment accounts and special investment accounts. These accounts are structured under various Shariah principles such as mudharabah, wadiah yad dhamanah (trust account), musharakah and others.

Apart from funding operations, Islamic banks provide financing facilities to their customers either on a short, medium or a long-term basis in accordance with the various Shariah principles. In general, Islamic banks financing activities can be divided into several types, such as project financing under the principles of mudharabah, musharakah, bai` bithaman ajil and ijarah.

Globally, various approaches were used towards establishing an Islamic banking system by different countries. Some countries such as Iran and Sudan converted their entire financial systems to become an interest-free system. By contrast, in the majority of countries, the Islamic banking system developed in parallel with the conventional banking system. Malaysia, Egypt and Saudi Arabia have dedicated Islamic banks, as well as conventional banks that offer banking services based on Shariah principles.

The Islamic units of conventional banks are commonly known as “Islamic windows”. These Islamic units are required to maintain separate current/ clearing accounts for their Islamic banking operations and, in some jurisdictions, they are required to appoint Shariah advisers to advise on the day-to-day operation of Islamic windows.

4.5.2 Islamic Insurance - TAKAFUL

The term Takaful literally means “shared responsibility or shared guarantee or assurance.” In practical terms, takaful means a mutual guarantee provided by a group of people in the community against a defined risk befalling one’s life, property or any form of valuable

things. Unlike conventional insurance, takaful is free from elements of gharar (uncertainty) and maysir (gambling).

The uncertainty element in a conventional insurance policy arises from the arrangement where the insurance company guarantees to pay a certain amount of compensation to the policyholder in the event of a disaster. However, the policy holder in the first instance does not know when such a disaster would occur or the amount of compensation that he will receive from the insurance company.

Takaful is based on definite terms, and requires a transparent and clear contract to avoid elements of uncertainty. Currently, two Shariah principles, namely mudharabah (profit sharing arrangement) or wakalah (fee-based arrangement) are used for takaful contracts.

Takaful providers incorporate insurance scheme into the structure of the instrument, the concept of donation or tabarru' (gift) in their operations. In this respect, the participants to the takaful scheme agree to relinquish a certain portion of their takaful contributions as a donation to assist other participants who might suffer a loss or damage due to a disaster or catastrophe. Another distinguishing feature of takaful compared with conventional insurance can be found in its investment choices. Takaful operators must ensure that the avenues of investment of takaful funds must be in accordance with Shariah principles. Takaful funds are usually invested in long-term Shariah compliant products and services.

The engagement of Shariah advisors or Shariah supervisory boards is also important in the takaful business. This is to ensure that day-to-day operations of takaful companies comply with Shariah principles.

Generally there are three types of takaful products:

- **General takaful (Islamic general insurance)**

This offers protection or coverage against risk of a general nature for companies or individuals (participants). Some of the products are motor insurance, fire and allied perils, worker compensation, marine cargo, property insurance, transportation insurance and others.

- **Family takaful (Islamic life insurance)**

This provides coverage for individuals or corporate bodies on a long-term basis and the maturity period ranges from 10 to 40 years. Some of the products include medical and health plans, education, accident, marriage, as well as hajj and umra plans.

- **Retakaful coverage (Islamic reinsurance)**

The retakaful companies offer coverage for takaful companies against risks, loss or dilution of its capital and reserves resulting from high-claim exposure. There are very few

Retakaful companies and they are mainly located in the Bahamas, Malaysia, Saudi Arabia and Sudan.

4.5.3 Islamic Capital Market

When we are talking about Islamic Capital Market, firstly we must know exactly what capital market is. Capital market is a market for long-term funds, just as the money market is the market for short-term funds. It refers to all the facilities and the institutional arrangements for borrowing and lending term funds (medium-term and long-term funds)⁴.

Capital Market is the platform for buying and selling of equity and debt instruments. Capital markets channel savings and investment between suppliers of capital such as retail investors and institutional investors, and users of capital like businesses, government and individuals.

The capital markets in India are regulated by **Reserve Bank of India (RBI) and Securities and Exchange Board of India (SEBI)**.

The **Reserve Bank of India (RBI)** is India's central banking institution, which controls the monetary policy of the Indian rupee. It commenced its operations on 1st April 1935 during the British Rule in accordance with the provisions of the Reserve Bank of India Act, 1934. The RBI plays an important part in the Development Strategy of the Government of India. It is a member bank of the Asian Clearing Union.

The general superintendence and direction of the RBI is entrusted with the 21-member Central Board of Directors: the Governor, 4 Deputy Governors, 2 Finance Ministry representatives, 10 government-nominated directors to represent important elements from India's economy, and 4 directors to represent local boards headquartered at Mumbai, Kolkata, Chennai and New Delhi.

The Reserve Bank of India has four regional representations: North in New Delhi, South in Chennai, East in Kolkata and West in Mumbai. The representations are formed by five members, appointed for four years by the central government and serve (beside the advice of the Central Board of Directors) as a forum for regional banks and to deal with delegated tasks from the central board.

The key Functions and Roles of Reserve Bank of India (RBI) includes,

- Financial Supervision,
- Regulator and Supervisor of the Financial System,

⁴ C. Paramasivan and T. Subramanian, *Financial Management*, New Age International Publishers, p. 246.

- Managerial of Exchange Control,
- Issue of Currency,
- Banker's Bank.

The **Securities and Exchange Board of India (SEBI)** is the regulator for the securities market in India. It was established in the year 1988 and given statutory powers on 12 April 1992 through the SEBI Act, 1992.

Initially, SEBI was a non-statutory body without any statutory power. However, in 1995, the SEBI was given additional statutory power by the Government of India through an amendment to the Securities and Exchange Board of India Act, 1992. In April 1988 the SEBI was constituted as the regulator of capital markets in India under a resolution of the Government of India.

The SEBI is managed by its members, which consists of following:

- The chairman who is nominated by Union Government of India.
- Two members, i.e., Officers from Union Finance Ministry.
- One member from the Reserve Bank of India.
- The remaining five members are nominated by Union Government of India, out of them at least three shall be whole-time members.

The Preamble of the Securities and Exchange Board of India describes the basic functions of the Securities and Exchange Board of India as "...to protect the interests of investors in securities and to promote the development of, and to regulate the securities market and for matters connected there with or incidental there to".

SEBI has three functions rolled into one body: quasi-legislative, quasi-judicial and quasi-executive. It drafts regulations in its legislative capacity, it conducts investigation and enforcement action in its executive function and it passes rulings and orders in its judicial capacity. Though this makes it very powerful, there is an appeal process to create accountability.

In India there are 23 stock exchanges. Bombay Stock Exchange (BSE) and National Stock Exchange (NSE) are the two major stock exchanges of India. More than 6,500 stocks are listed on these various stock exchanges; out of these, around 5,500 stocks are listed on Bombay Stock Exchange (BSE) alone.

The **Bombay Stock Exchange (BSE)** is an Indian stock exchange located at Dalal Street, Kala Ghoda, Mumbai, Maharashtra, India. Established in 1875, the BSE is Asia's first stock exchange and the world's fastest stock exchange with a median trade speed of 6

microseconds. The hours of operation for the BSE quoted below are stated in terms of the local time (GMT + 5:30). BSE's normal trading sessions occur on all days of the week except weekends and holidays declared by the Exchange in advance.

SESSION	TIMING
Pre-open Trading Session	09:00 – 09:15
Trading Session	09:15 – 15:30
Position Transfer Session	15:40 – 16:00
Closing Session	15:40 – 16:00
Option Exercise Session	17:07

Operation hours of BSE

The BSE SENSEX⁵ (Bombay Stock Exchange Sensitive Index), also-called the BSE 30 or simply the SENSEX, is a free-float market-weighted stock market index of 30 well-established and financially sound companies listed on Bombay Stock Exchange. The 30 component companies which are some of the largest and most actively traded stocks, are representative of various industrial sectors of the Indian economy.

These companies are important for India, if they don't perform well, India won't perform well. Increase in stock price is good for any company and hence increment in Sensex is good for India. Initially compiled in 1986, the Sensex is the oldest stock index in India.

In general, Capital market may be defined as an organised mechanism for effective and efficient transfer of money-capital or financial resources from the individuals or institutions to industrialists.

The Islamic Capital Market (ICM) refers to the market where activities are carried out in ways which doesn't conflict with the principles of Islam. The Islamic Capital Market represents an assertion of religious law in capital market transactions where the market is free from prohibited activities and elements such as Riba, Maisir and Gharar"⁶.

As this paper is established in the area of Islamic Capital Market, it is necessary to take a detail view into the concept of Islamic Capital Market. The following will give the brief introduction about the Islamic Capital Market, instruments of Islamic Capital Market, key differences between the Islamic Capital Market and Conventional Capital Market.

⁵ The term Sensex was coined by Deepak Mohoni, a stock market analyst.

⁶ Bursa Malaysia's definition is (taken from The Islamic Capital Market, p. 2)

CHAPTER 5: ISLAMIC CAPITAL MARKET (ICM)

5.1 INTRODUCTION

The term capital market refers to any financial market where debt and equity are demanded and supplied. A capital market helps investors find a platform for making their investments and helps both borrowers and investors by channelling funds from those with excess funds to those in need of such funds. Businesses and governments raise funds in the capital market.

Simply put, the Islamic capital market is where Sharia-compliant financial assets are transacted. It works parallel to the conventional market and helps investors find sharia-compliant investment opportunities. Thus, Islamic Capital Market (ICM) refers to the capital market where all the transactions, operations and activities are carried as per Islamic laws (Shariah).

According to Islamic Capital Market Task Force report which published by International Organization of Securities Commissions (IOSCO) in 2004, "Islamic Capital Market means where investment and financing activities and products are structured in accordance with Shariah principles".

The emergence of a distinct Islamic capital market, where investment and financing activities and products are structured in accordance with Shariah principles, is therefore the outcome of a natural progression in the growth of the Islamic financial services industry.

Another aspect of the early part of the development of the Islamic capital market was the need to establish clear guidance on the types of equities that comply with Shariah requirements. The review and identification of Shariah-compliant stocks are guided by specific criteria set out by Shariah scholars.

The implementation of a process to identify Shariah-compliant stocks facilitates the establishment of Islamic indices. The first Islamic equity index was introduced in Malaysia by RHB Unit Trust Management Bhd in May 1996. This was followed by the launching of the Dow Jones Islamic Market Index (DJIM) by Dow Jones & Company in February 1999, the Kuala Lumpur Shariah Index (KLSI) by Bursa Malaysia in April 1999 and the FTSE Global Islamic Index Series by the FTSE Group in October 1999.

5.2 SHARIAH INDICES IN INDIA

Since the launch of global Islamic indices in 1999, the range of available benchmark indices has blossomed, expanding across both regional and economic geographies. Both BSE

and NSE were introduced the Shariah indices, to name few BSE TASI Shariah 50, S&P BSE 500 Shariah, CNX Nifty Shariah, CNX 500 Shariah, etc.

5.2.1 S&P BSE TASI Shariah 50 Index

BSE (Bombay Stock Exchange) and Taqwaa Advisory and Shariah Investment Solutions (TASIS) had jointly developed Shariah compliant equity index in India named, BSE TASI Shariah 50 Index which was launched on 27th December, 2010. The underlying principle behind the creation of a separate Shariah index was to help the Islamic investor community identify and invest in businesses that are compliant with the Shariah laws.

The BSE TASI Shariah 50 index (SHA 50) consisted of the 50 largest and most liquid strictly Shariah compliant stocks from the BSE 500. According to the notice no. 20130506-22, dated 6 May, 2013, the calculation, publication and dissemination of S&P BSE TASI SHARIAH 50 Index was to be discontinued from June 10, 2013. The new index launched was S&P BSE 500 Shariah to include more constituents which are Shariah compliant.

5.2.2 S&P BSE 500 Shariah Index

On February 19, 2013, S&P Dow Jones Indices and the Bombay Stock Exchange (BSE) announced their strategic partnership to calculate, broadcast, and license the widely followed BSE suite of indices. One of the first indices created by the partnership was the S&P BSE 500 Shariah index. The S&P BSE 500 consists of 500 of the largest, most liquid Indian stocks trading at the BSE. The index represents nearly 93% of the total market capitalization on the exchange. It covers all 20 major industries of the economy. The Shariah index is designed to represent all Shariah compliant stocks of the broad based S&P BSE 500 Index.

5.2.3 CNX Nifty Shariah Index

The CNX Nifty Index includes the largest and most liquid companies listed on the National Stock Exchange. The CNX Nifty Index is parent index to CNX Nifty Shariah Index. The constituents of CNX Nifty index are screened for Shariah compliance and only the companies that are Shariah compliant form part of CNX Nifty Shariah Index. The index performance closely tracks the performance of the parent index. CNX Nifty Shariah Index can be used for benchmarking fund portfolios, launching of index funds, Exchange Traded Funds (ETF's) and structured products.

5.2.4 CNX 500 Shariah Index

The CNX 500 Shariah Index covers more than 90% of the total market capitalization and more than 80% of total traded volume on the National Stock Exchange. The CNX 500 Index is parent index to CNX 500 Shariah Index. The benchmark index is screened for Shariah compliance and forms the CNX 500 Shariah, which closely tracks the performance of the

parent index. CNX 500 Shariah Index can be used as benchmarking fund portfolios, launching of index funds, Exchange Traded Funds (ETF's) and structured products.

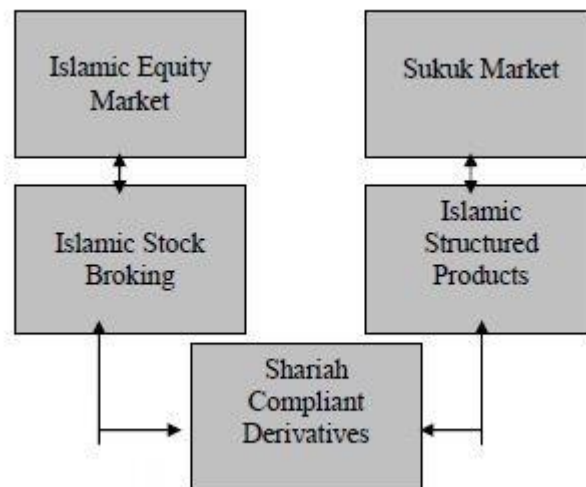
Stock Exchange	National Stock Exchange (NSE)		Bombay Stock Exchange (BSE)	
Shariah Index	CNX Nifty Shariah	CNX 500 Shariah	BSE TASI Shariah 50	S&P BSE 500 Shariah
Benchmark/Parent Index	CNX Nifty Index	CNX 500 Index	BSE-500 Index	S&P BSE 500 Index
Launch Date	February 19, 2008	February 19, 2008	December 27, 2010	May 2, 2013
Base Date	December 29, 2006	December 29, 2006	January 1, 2008	November 3, 2008
Base Value	1000	1000	1000	1000
No. of Constituents	18	136	50	168
Methodology	Free Float Market Capitalization	Free Float Market Capitalization	Discontinued from June 10, 2013	Float adjusted market cap Weighted
Calculation Frequency	EOD Daily	EOD Daily		
Index Rebalancing	Monthly	Monthly		Monthly (third Friday of the month)

Shariah Indices in India

5.3 STRUCTURE OF ISLAMIC CAPITAL MARKET

Islamic Capital Market (ICM) consists of two main parts, Islamic Equity Market (Stock) and Islamic Sukuk Market (Bond). However the dominating part is the latter part. The Islamic Capital Market has grown in sophistication and Islamic forms of product structuring, project financing, stock broking, asset management and venture capital services are becoming increasingly widely available.

There are different products of Islamic capital market. The following diagram presents a general overview of the Islamic capital market:



Structure of Islamic Capital Market ⁷

5.3.1 Islamic Bond (Sukuk) Market

Sukuk, a Shariah-compliant alternative to a conventional bond, has shown phenomenal growth in the past decade and is showing promising signs of going further ahead. The striking difference between a Sukuk and a conventional bond is that a Sukuk is an asset linked certificate where the income to the certificate holder is derived from the underlying asset of the Sukuk. But in case of a conventional bond there is no asset which is linked to the bond, which can justify the income of the bond holder.

AAOIFI defines Sukuk as the “certificates of equal value representing undivided share in ownership of tangible assets, usufruct and services or (in the ownership of) the assets of particular projects or special investment activity. However, this is true after receipt of the value of the Sukuk, the closing of subscription and the employment of funds received for the purpose for which the Sukuk were issued”.

The Arabic word Sukuk is the plural of the word Sakk, meaning certificate which reflects participation rights in an underlying asset. The term Sukuk has been recognised in the traditional Islamic jurisprudence for a long time. The Shariah recognises and validates a financial asset that derives its return from the performance of an underlying real asset.

Sukuk are the most important and most prominent elements of Islamic capital market. In Sukuk market following three types of financing is carried out:

⁷ Source: www.ifsb.org

- **Islamic asset-based financing**

In Islamic economics, financing is based on the specific asset. In Islamic finance money is considered to be just a medium of exchange or a mechanism to complete the transaction. While in case of conventional finance this is not always the case and most of the time financing is currency-based. Sukuk al-Musharaka, Sukuk al-Mudaraba, Sukuk al-Ijarah, Sukuk al-Wakala are the examples for Asset-based financing.

- **Islamic equity based financing**

“Equity-based financing in Islamic model is based on the sharing of business risks, as well as rewards by the bank and its client. Both parties would have to contribute for the basic ingredients of a business venture such as capital, management, know-how, labour, and other related professional attributes. Profits are distributed based on an agreed profit distribution ratio while losses are prorated to each party's capital participation. Equity financing is cemented by entering in either one of two contracts, namely a partnership contract and a trust financing contract”.⁸

- **Islamic asset-backed securities**

“Shariah-compliant asset-backed securitization (ABS), that delivers a risk-return profile similar to a conventional structure”. However, conventional securitization was developed in non-Islamic economies and invariably involves interest-bearing debt”.⁹

The basic idea of securitisation in Islamic finance is to transform something, be it tangible assets, usufruct or receivables (subject to the conditions going to be discussed in following paragraphs), into papers that are later tradable in the secondary market. The transformation of something that is illiquid into liquid is the very essence of securitisation, not only in Islamic finance but also in conventional finance.

The structure of Islamic bonds has to be reviewed and approved by Shariah advisers to ensure that the structures are in compliance. In addition, the structuring process may also involve the provision of additional protection for investors against late payment, pre-payments, potential write-offs and others. Such protection is often provided in the form of credit and/or liquidity enhancement schemes.

The Special Purpose Vehicle (SPV) plays an important role in the entire process of Sukuk, The SPV is a separate legal entity formed for the purpose of managing the securities issues. As such, an SPV is capital and tax efficient. All the operations of an SPV are limited

⁸ The Brunei Times, 2010

⁹ Jobst, 2007

to the acquisition and financing of specific assets. The major characteristic feature of an SPV includes bankruptcy remote. It plays a role in collecting the investment amounts, in purchasing the assets, to issuing the Sukuk and to making initiation of bankruptcy or insolvency proceedings.

5.3.2 Islamic Equity (Stock) Market

Islamic Equity Market operates on the basis of equity participation by the investor. It includes the following Islamic products:

- Shariah-compliant stocks,
- Islamic Unit Trusts,
- Islamic REITs (Real Estate Investment Trusts),
- Islamic Index.

- **Shariah-Compliant Stocks**

In general, the Shariah-based principle of equity participation is essentially the same as that for conventional companies. It is based on a form of equity partnership investing called musharakah. However, from an Islamic perspective, corporate stocks can only be classified as Shariah-compliant if their business activities are not related to prohibited activities as outlined by Shariah scholars. The prohibited business activities include:

- a) Alcohol,
- b) Gambling,
- c) Pork-related products,
- d) Pornography,
- e) Conventional financial services,
- f) Conventional insurance.

Within this context, there may be other activities or enterprises that are prohibited such as tobacco, weapons, hotels or entertainment depending on the methodology or interpretation used by Shariah scholars in different jurisdictions. In addition to the business activities criteria, certain jurisdictions use financial ratios as additional criteria in classifying Shariah stocks. The main financial ratios applied are:

- Debt-to-equity ratio
- Cash and interest bearing securities-to-equity ratio
- Cash-to-asset ratio.

Other than business and financial criteria, some jurisdictions are known to also apply a cleansing mechanism to purify investments that are tainted by prohibited activities. The cleansing process is normally performed by the individual investors, although in some cases, the Islamic funds would perform the task on behalf of their investors. For instance, if some part of the income from interest-bearing accounts (prohibited by Shariah) is included in the income of the company, the proportion of such income in the dividend paid to the shareholder must be given to charity, and must not be retained by the shareholder. This is called purification or dividend cleansing. The chapter 6 will give you the complete structure of Shariah Screening process functioned by the Taqwaa Advisory and Shariah Investment Solutions (P) Ltd (TASIS).

- **Islamic Unit Trust Funds**

A Unit Trust is an investment vehicle that allows investors to take advantage of investing in a diversified group of stocks which manages risk and exposure to one or a few stocks. It also offers the opportunity to participate in the long-term performance of the stock market.

Islamic Unit Trusts add other aspects that are a screening process to remove stocks of companies deemed to be inappropriate for Muslim investors and cleansing or purification of a company's profits by removing any income derived from non-Shariah compliant sources, such as interest a company would earn on its bank accounts and donating them to charities. Therefore, Islamic unit trust schemes are required to additionally appoint a Shari'ah committee or to ensure that their operations are in accordance with Shari'ah.

Islamic Unit Trusts can invest in many financial products in conventional financial markets which are not interest-based, or where the element of interest could be eliminated, such as property funds, commodities, financial options and futures and forward transactions in foreign currencies.¹⁰ They can take advantage of international markets growth by giving priority to equity investments in Islamic banks and financial institutions, stock markets of Muslim countries; and companies managed under the Islamic system.

Islamic Unit Trusts investments are also based on specific criteria based on morality, the main criteria is to not deal in transactions which involve the paying and receiving of interest. Islamic Unit Trusts should be run on a transparent and modern corporate basis and up-to-date accounting and within a legal framework in conformity with the Shariah.

¹⁰ Treasury and Capital Market Operations by IIBI; 2009.

Islamic commodity funds invest in commodities, which are permissible according to Shariah. Among the popular commodities are metals such as aluminium, copper, nickel, palladium and platinum.

Shariah-Compliant funds are a \$60 billion industry forecasted to grow to at least \$77 billion by 2019, while the underlying demand for Shariah funds is projected to grow to \$185 billion over the next five years according to The Global Islamic Asset Management Outlook published by Thomson Reuters.¹¹

○ **Islamic REITs (Real Estate Investment Trusts)**

Islamic REITs (I-REITs) are similar to conventional REITs. They are typically structured as property trusts except that they must hold investments that adhere to the principles of Shariah. This requirement means that lease financing (ijarah) is used in lieu of an outright purchase of property. The economic, legal, and tax ramifications are effectively the same as in a conventional REIT.

An Islamic REIT invests primarily in physical real estate, but it may also hold Sukuk, private companies whose main assets comprise real estate, Shariah-compliant securities of property and non-property companies, and units of other I-REITS, Shariah compliant short-term deposits, and cash.

The key benefits of I-REITS are similar to those of conventional REITs and include the following advantages over physical properties:

- Higher current yields because of the requirement to distribute at least 90 percent of income annually,
- lower transaction costs and greater liquidity because most REITs are listed and traded on stock exchanges,
- Scalability, unlike property investment companies,
- Diversification across properties with different lease periods and geographical locations.

I-REIT returns are earned through rental income, capital appreciation of physical property, and securities held as investments. I-REIT investments must be reviewed, monitored, and approved as complying with Shariah principles by a Shariah committee or adviser. In addition, an I-REIT is required to use a takaful (Islamic insurance) scheme to insure the real estate.

¹¹ <http://thomsonreuters.com/>

5.3.3 Islamic Structured Products

Islamic structured investment products are customized products according to the need of the specific investor which can be a wealthy individual or a group of investors. The risk and reward of these products are designed to meet a specific objective. Generally the following two types of Islamic structured products are used in Islamic capital market:

- Dual currency structured Investment,
- Equity linked structured investment.

5.3.4 Islamic Stock Broking Services

Islamic Stockbroking services operate within the same institutional and regulatory framework as that of conventional stockbroking, except that their activities comply with Shariah principles. For example, they are allowed to participate in originating, trading and distributing Shariah-compliant stocks only. Islamic stockbroking services also provide margin financing facilities but these are structured based on Shariah principles. As is the case for the banking sector, there are conventional stockbroking companies that provide “Islamic windows” which offer Islamic stockbroking services to their clients. However, the accounts of Islamic stockbroking services are segregated from the company’s conventional stockbroking operations.

In Islamic capital market, stock broking is done according to the Shariah principals. This part of Islamic capital market deals in the following:

- Shariah-compliant trading,
- Shariah-compliant margin financing.

5.4 DIFFERENCE BETWEEN ISLAMIC CAPITAL MARKET AND CONVENTIONAL CAPITAL MARKET

Characteristics	Islamic Capital Market	Conventional Capital Market
Shariah Framework	Islamic capital market products are designed based on Shariah law - Shariah scholars ensure adherence to Islamic laws and provide guidance.	Not based on religious laws or guidelines.
Prohibited Transactions	Islamic capital market restricts stocks of companies	Except for money laundering and the financing of criminal

	dealing in unlawful activities such as gambling, pork, alcohol, tobacco, pornography and arms & ammunition.	activities, these activities are permitted.
Financing	Islamic banks provide equity capital to a project or venture. Losses are shared on the basis of equity participation while profits are shared on a pre agreed ratio.	Venture capital companies and investment banks which typically take equity stakes and management control of an enterprise for providing start up finance.
Prohibition of Interest	Islamic capital market restricts charge of interest.	Charge of interest is not restricted.
Sukuk - Bond Market	Sukuk issued are backed by underlying Shariah-compliant asset.	Bonds issued are in the form of debt paper that represents underlying debt payable at maturity. It follows the principle of interest-based lending.

Key differences between Islamic Capital Market and Conventional Capital Market

At the end of this chapter, we came to know the growth and potential of the Islamic Capital Market and how it will be an alternative for the Conventional capital market. As same as the products of conventional capital market (like treasury bills, bonds, futures, options, etc.), Islamic Capital Markets instruments were structured by the Shariah scholars in light with the principles of Shariah.

CHAPTER 6: SCREENING OF SHARIAH COMPLIANT STOCKS

6.1 INTRODUCTION

Islamic Capital Market has seen the great growth in the past years which created enormous demand for Islamic capital market products, as the industry has expended the products from Equity, Sukuk (Islamic Bonds) and Islamic Derivatives, to Real Estate Investment Trust (REITs) and Exchange Traded Funds (ETFs). Islamic Equity Market plays a vital role in the Islamic Capital Market, due to this rapid growth a need for strengthening Shariah stock screening is essential in order to ensure the compliance of all companies in the Shariah-compliant listed companies.

When investing in any business, Islamic / ethical investors need to take into account not only the structure of the transaction but also the nature of the counter party. An investor in the share capital of a company becomes technically a part-owner of the company and therefore responsible for its internal structuring as well.

As a result, in case of investment in equities traded on the stock exchanges, the investor needs to consider further issues of the company itself being involved in Shariah non-compliant financing and structuring. Due to this, initially Shariah scholars tended to completely rule out investment in listed equities. Over time, realization has emerged in that a more balanced view needs to be taken.

This resulted in setting various screening norms and global standards to monitor business for Shariah compliance. By successfully completing these screening process a company becomes Shariah compliant and reviewing the company in a regular interval ensures that the company remains Shariah compliant.

This Chapter will provides the complete structure of the Screening process of Shariah compliant stocks and Purging process of impure income performed by Taqwaa Advisory and Shariah Investment Solutions (P) Ltd (TASIS), and its comparison with other standards prevailing in global Islamic Capital Markets .

6.2 SHARIAH STOCK SCREENING

By referring to the definition on stock screening, it is actually a process of finding stocks that meets the investor's selection criteria. It also can be inferred as to investigate stocks for potential investment according to a predetermined set of criteria. Shariah stock screening can be defined as a process of determining whether a stock is Shariah compliant or not.

Thus, Shariah stock screening aims to ensure the stock that one purchases or invest in does not contain any prohibited elements that make it Shariah non-compliant. Consequently, this Shariah screening process would assist Ethical investors or Shariah conscious investors to avoid the prohibited elements in their investments and invest into companies that run the permissible activities in the business.

Globally, there are different approaches to Shariah screening. To name few, there are Dow Jones Islamic Market Indexes (DJIM), FTSE Global Islamic Index Series, Meezan Islamic Fund criteria, Shariah Advisory Council (SAC), Standard & Poor (S&P) Shariah Indices and TASIIS Shariah screening norms.

6.3 SHARIAH SCREENING PROCESS

In general, the process of Shariah stock screening consists of business sector screening, financial screening. Business sector screening is to exclude all non-halal primary activities companies. Financial ratios screening is to evaluate the extent interest-based financing and interest-based income using various ratios. This is the common practice of any screening standards globally, choosing the parameters and percentage of the ratio makes the difference between various Shariah screening standards.

The ultimate objective of these Shariah screening standards is to offer screening processes to both Ethical investors and Shariah conscious investors. The following will be an overview of Shariah screening criteria by various organisations globally.

6.4 DOW JONES ISLAMIC INDEX SCREENING CRITERIA

6.4.1 Screens for Acceptable Business Activities

Activities of the companies should not be inconsistent with Shariah precepts. Therefore, based on revenue allocation, if any company has business activities in the Shariah inconsistent group or sub -group of industries it is excluded from the Islamic index universe. The DJIMI Shariah Supervisory Board established that following broad categories of industries as inconsistent with Shariah precepts: Alcohol, Pork-related products, Conventional financial services (banking, insurance, etc.), entertainment (hotels, casinos/gambling, cinema, pornography, music, etc.), Tobacco, and Weapons and defence industries.

6.4.2 Screens for acceptable financial ratios

After removing companies with unacceptable primary business activities, remove companies with unacceptable levels of debts or impure interest income.

- **Debt to Assets**

Exclude companies if Total Debt divided by Trailing 12 -Month Average Market Capitalization is greater than or equal to 33%.

(Note: Total Debt = Short -Term Debt + Current Portion of Long –Term Debt + Long-Term Debt)

- **Liquid Assets to Total Assets**

Exclude companies if the sum of Cash and Interest Bearing Securities divided by Trailing 12- Month Average Market Capitalization is greater than or equal to 33%.

- **Receivables to Assets**

Exclude companies if Accounts Receivables divided by Total Assets is greater than or equal to 45%.

(Note: Accounts Receivables = Current Receivables + Long-Term Receivables)

Companies passing the above screens are included as components of the Dow Jones Islamic Market Index.

6.5 STANDARD AND POOR’S (S&P) SCREENING CRITERIA

6.5.1 Screens for Acceptable Business Activities

The core activities of the companies should not be Shariah incompatible. Therefore companies with following as their core business activities are excluded:

Financial services based on riba (interest); gambling; manufacture or sale of non-halal products or related products; conventional insurance; entertainment activities that are non-permissible according to Shariah; manufacture or sale of tobacco-based products or related products; stockbroking or share trading in Shariah non-approved securities; and other activities deemed non-permissible according to Shariah.

6.5.2 Screens for acceptable financial ratios

After removing companies with unacceptable primary business activities, remove companies with unacceptable levels of debts or impure interest income.

- **Total Debt**

Exclude companies if Total Debt divided by Trailing 36 -Month Average Market Capitalization is greater than 33%.

- **Accounts Receivables**

Exclude companies if Accounts Receivables divided by Total Assets is greater than or equal to 49%.

- **Cash plus Interest bearing Securities**

Exclude the companies if cash plus interest bearing securities is greater than 33%.

- **Non-compliant Income**

Exclude companies which has non-compliant income (other than interest) greater than 5% of Total Income.

The purpose of a non-permissible income screening is to determine whether a company's income from Shariah non-compliant activities have exceeded the allowable level. Again for instance, in the hospitality business, there is a need to know the percentage of income derived from alcohol sales or casino gambling. If the non-permissible income ratio exceeded the bench of threshold, the company is deemed to be Shariah non-compliant. The non-permissible income ratio is obtained by taking non-permissible income other than the interest income divided by total revenue of firm.

As we stated earlier, the ultimate objective of these Shariah screening standards is to offer screening processes to both Ethical investors and Shariah conscious investors. The following discussion would be focused on the methodology of Shariah Stock Screening adopted by Taqwaa Advisory and Shariah Investment Solutions (P) Ltd (TASIS).

Before entering into the Shariah screening process, we should understand the screening norms adopted by TASIS and the rationale behind selecting the parameters for financial screening. By revising the financial parameters and the rationale behind will be helpful to compare other Shariah standards for screening process across the globe.

The following information about setting the financial parameters and the rationale behind those financial parameters are based on the "Handbook on Investments in Shariah Tolerant Stocks" published by TASIS.

TASIS have selected six parameters and devised three ratios from them for assessing Indian companies for Shariah compliance from the financial perspective. The parameters selected are:

- a. Debt,
- b. Total Assets,
- c. Interest Income,
- d. Interest based Investment,
- e. Total Income, and
- f. Receivables + Cash & Bank balance.

The devised ratios are,

- a. Total interest-bearing debt (including from banks, financial institutions, public deposits and inter-corporate deposits) and issued preference capital should not be greater than 25% of their total assets.
- b. Interest income from all sources and 8% of interest based investments should not exceed 3% of their total income.
- c. Receivables and cash & bank balance should not be greater than 90% of their total assets.

The purpose of using ratios rather than the relevant accounting items (such as debt, interest income, etc.) themselves is to take into account and neutralize the impact of size of the companies. Hence the relevant “offending” parameters are considered in relation to a pertinent parameter (a balance sheet item for a balance sheet item and an income expenditure statement item for the interest income) which will yield a ratio which is size-neutral and hence can be applied across all companies.¹²

6.6 RATIONALE BEHIND SETTING THE RATIOS

Based on the ratios structured by TASIS in financial screening, identifying the rationale behind these ratios will provide the clear understanding behind the ratios adopted by TASIS. The following is the rationale behind framing the financial ratios:

¹² Handbook on Investments in Shariah Tolerant Stocks by TASIS, pp.16.

6.6.1 Rationale behind Limit of Debt Ratio

Most organizations set the maximum limit for the Debt ratio at 33%. The study¹³ proposed by TESIS, shows that such a high limit is much too liberal, at least for India. As it noted earlier, the limits set for these ratios are meant to ease hardship. If in an environment like India, where there is no consciousness of operating on a Shariah compliant basis, the aggregate Debt ratio is by default consistently between 27% and 32% over a period of 4 years, then there appears to be no justification for setting the ratio at 33%. Further, even with a ratio of 25%, TESIS find that an average of 1,551 companies qualify. This number is sufficiently large to afford individual investors a reasonable choice to build a viable portfolio of shares out of just the Shariah compliant ones (qualifying on the basis of a limit of 25% for the Debt ratio).

6.6.2 Rationale behind Limit for Interest Income (inclusive of Income from Interest based Investments)

Generally, it is not possible for an external agency such as TESIS to be able to know the exact amount of impure income earned by a company on its interest-based investments, as this information is not required to be disclosed by the company in its financial statements or annual reports. In this situation the best that can be done is to assume a rate of earnings commensurate with that which is generally obtainable from the type of interest-bearing mutual funds in which companies normally deploy their short-term excess liquidity. In this context it was decided to consider an assumed rate of return of 8% on the Interest based Investments.

The reason behind keeping the return from interest based investments at 8 % is that it is related to the Bank Rate, which is at present 6%. It is observed that the portfolios of the existing debt-based mutual funds are to a large extent deployed in government and corporate bonds, like treasury bills, and call money, G-bonds and other related money market and liquid instruments. The income generated from these instruments is related to the Bank Rate and their associated risk ratings, which are accorded them by rating agencies. Presently these investments earn a premium of around 200 basis points (2%) above the Bank Rate. Hence TESIS has considered the percentage of income generated from Interest bearing Investments as 8%.

¹³ The ratio of aggregate of Debt to aggregate of Total Assets for the companies which were Shariah compliant on nature of business, varied from a low of 27.86% to a high 31.5% over the four years with a mean of 29.4%. With a maximum limit of 33% for the ratio, an average of 1,845 or 54.4% of the 3,392 companies qualified as Shariah compliant. If the allowable maximum limit was reduced to 25%, still between 1,417 and 1,604 or a mean of 1,551 companies or 44.6 % of the companies qualified in different years.

The ratio for screening Interest Income has to include the income impact of Interest based Investments in its numerator. Hence the norm for screening Interest Income (inclusive of Income from Interest based Investments) has been defined as the ratio (of Interest Income + 8% of Interest based Investments) to Total Income not exceeding 3%.

6.6.3 Rationale behind Limit for Receivables and Cash Ratio

The ratio of aggregate of Receivables + Cash to aggregate of Total Assets for the companies which were Shariah compliant on nature of business, varied from a low of 23.98% to a high of 24.76% over the 4 years (from the study performed by TASIS), with a mean of 24.38%. If the allowable maximum limit was kept at 90%, then the number of compliant companies lies between 3,087 and 3,594 or a mean of 3,406 companies or 97.9% of the companies compliant on nature of business in different years.

6.7 SHARIAH SCREENING PROCESS PERFORMED BY TASIS

The methodology adopted by Taqwaa Advisory and Shariah Investments Solutions (P) Ltd (TASIS) for Shariah Stock Screening process is consist of:

- ❖ Primary Screening,
- ❖ Business Screening, and
- ❖ Financial Screening.

To acquire the perfect understanding of this process, the snapshot of every step of the entire screening process¹⁴ is shown below. This will lead us to the detailed working process adopted by TASIS.

The Shariah screening process starts by extracting the data from Prowess database. Collecting data of listed companies in Indian stock exchanges from the-reliable data provider- Prowess website. For this specific study, we have taken the companies which listed in the Bombay Stock Exchange (BSE). Once the data is downloaded¹⁵ from the prowess, TASIS has converting the data into their own structured set-up in a balance sheet format for Shariah screening process. The following is the key titles arranged by TASIS,

- | | |
|-------------------|---------------------------------|
| • Company name, | • Main product / Service group, |
| • Industry group, | • ISIN code, |

¹⁴ The Shariah Screening process used for this paper was a real data and workings of February'2016 performed by TASIS.

¹⁵ Total number of BSE listed companies downloaded from the Prowess data provider is 5462 companies (February'2016).

- NSE symbol,
- BSE group,
- BSE scrip code,
- BSE scrip id,
- Year,
- Total Liabilities,
- Total Assets,
- Total Income,
- Total Expenses,
- Market Cap,
- Shares Outstanding,
- Equity Face Value,
- Earnings Per Share (EPS),
- Closing price,
- Yield,
- BSE (Date of trading & delisting),
- NSE (Date of trading & delisting).

Sr.No.	Company Name	Industry group	Main product/service group	ISIN code	NSE symbol	BSE group	BSE scrip code	BSE scrip id	Year
1	20 Microns Ltd.	Minerals	Mineral Products	INE144J01027	20MICRONS	B	533022	20MICRONS	31-03-2015
2	3i Infotech Ltd.	Computer software	Software services	INE748C01020	3IINFOTECH	B	532628	3IINFOTECH	31-03-2015
5450	Wellwin Industry Ltd.	Other electronics	Process control equip	INE752A01018	WELLWININD	T	531369	WELLWININD	31-03-2014
5451	Western Industries Ltd.	Drugs & pharmaceuticals	Drugs, medicines & al	INE728C01014		XD	531649	WERTERNIN	31-03-2004
5452	Western Ministil Ltd.	Steel	Semi-finished Steel	INE305001013		P	504998	WMINIMIT	31-03-2015
5453	Willard India Ltd.	Other textiles	Jute & jute products	INE481D01018	WILLARDLTD	T	504227	WILLARD	31-03-2011
5454	Wilwayfort India Ltd.	Plastic films & flexible	Other sheets, films &	INE189E01015		P	530293	WILFI	31-03-2010
5455	Wopolin Plastics Ltd.	Plastic packaging goods	Sacks & bags	INE986C01018	WOPOLIN	T	509419	WOPOLIN	31-03-2006
5456	Xedd Telecom Ltd.	Trading	Trade in other manuf	INE383C01018	XEDDTELCOM	B	530819	XEDD TELECOM	31-03-2000
5457	Y K M Industries Ltd.	Trading	Trading in food produ	INE332F01018		P	531260	YKMIND	31-03-2015
5458	Yogi Healthcare Ltd.	Drugs & pharmaceuticals	Drug formulations	INE494A01017	COREPARENT	B	500091	COREPARENT	31-03-2008
5459	Yogi Polyesters Ltd.	Man-made filaments	Polyester filament yal	INE302201012		P	526913	YOGIPLY	31-03-2002
5460	Yuvraj International Ltd.	Trading	Trade in other manufactured goods			XP	512285	YUVINTL	31-03-2012
5461	Zenith Capitals Ltd.	Other financial services	Financial services incl	INE132N01016		XT	508900	ZENCAP	31-03-2015
5462	Zillion Pharmachem Ltd.	Drugs & pharmaceuticals	Drug formulations	INE845F01019	ZILONPHARM	P	524476	ZILLOPH	31-03-2005

Figure.1: The companies were arranged according to TASIS format.

6.7.1 Primary Screening

The main objective of Primary screening is to find and exclude companies with zero balance of Total Assets, Total Income and those who do not have the annual data of last 3 years. The following are the three criteria TASIS has determined to exclude these bogus companies,

- The companies which not having their three years of financial statement recently,
- The companies with their total assets as zero/blank/nil,
- The companies with their total income as zero/blank/nil.

The following pictures will demonstrate the process of primary screening.

Sr.No.	Company Name	Industry group	Main product/service group	ISIN code	NSE symbol	BSE group	BSE scrip code	BSE scrip id	Year
1	20 Microns Ltd.	Minerals	Mineral Products	INE144J01027	20MICRONS	B			
2	3i Infotech Ltd.	Computer software	Software services	INE748C01020	3INFOTECH	B			
5450	Wellwin Industry Ltd.	Other electronics	Process control equip	INE752A01018	WELLWININD	T			
5451	Western Industries Ltd.	Drugs & pharmaceuticals	Drugs, medicines & al	INE728C01014		XD			
5452	Western Ministil Ltd.	Steel	Semi-finished Steel	INE305001013		P			
5453	Willard India Ltd.	Other textiles	Jute & jute products	INE481D01018	WILLARDLTD	T			
5454	Wilwayfort India Ltd.	Plastic films & flexible	Other sheets, films &	INE189E01015		P			
5455	Wopolin Plastics Ltd.	Plastic packaging goods	Sacks & bags	INE986C01018	WOPOLIN	T			
5456	Xedd Telecom Ltd.	Trading	Trade in other manufa	INE383C01018	XEDDTLCOM	B			
5457	Y K M Industries Ltd.	Trading	Trading in food produ	INE332F01018		P			
5458	Yogi Healthcare Ltd.	Drugs & pharmaceuticals	Drug formulations	INE494A01017	COREPARENT	B			
5459	Yogi Polyesters Ltd.	Man-made filaments	Polyester filament yarn	INE302201012		P			
5460	Yuvraj International Ltd.	Trading	Trade in other manufactured goods		XP				
5461	Zenith Capitals Ltd.	Other financial services	Financial services incl	INE132N01016		XT			
5462	Zillion Pharmachem Ltd.	Drugs & pharmaceuticals	Drug formulations	INE845F01019	ZILONPHARM	P			

Figure.2: The companies which not having their three years of financial statement

By un-checking the recent three years (Figure 2), we find the companies which not having their annual report of recent three years, were highlighted and removed from the screening process.

Sr.No.	Company Name	Industry group	Main product/service group	Debt	Secured borrowings	Unsecured borrowings	Capital employed	Contingent liabilities	Total Debt	Total assets
1	20 Microns Ltd.	Minerals	Mineral Products	154.72	134.91	19.81	224.41			
2	3i Infotech Ltd.	Computer software	Software services	2706.65	1714.68	926.97	2257.65			
5450	Wellwin Industry Ltd.	Other electronics	Process control eq				0.75			
5451	Western Industries Ltd.	Drugs & pharmaceuticals	Drugs, medicines &	9.1	8.77	0.33	17.4			
5452	Western Ministil Ltd.	Steel	Semi-finished Steel	4.03		4.03	-0.06			
5453	Willard India Ltd.	Other textiles	Jute & jute product	1.18			8.35			
5454	Wilwayfort India Ltd.	Plastic films & flexible	Other sheets, films	0.13	0.05	0.08	-2.02			
5455	Wopolin Plastics Ltd.	Plastic packaging goods	Sacks & bags	155.15	154.25	0.9	25.18			
5456	Xedd Telecom Ltd.	Trading	Trade in other man	0.96	0.4	0.56	4.4			
5457	Y K M Industries Ltd.	Trading	Trading in food pro				4.69			
5458	Yogi Healthcare Ltd.	Drugs & pharmaceuticals	Drug formulations	151	150.62	0.38	6.13			
5459	Yogi Polyesters Ltd.	Man-made filaments	Polyester filament	24.55	23.95	0.6	20.6			
5460	Yuvraj International Ltd.	Trading	Trade in other man	10.32	9.9	0.42	-0.17			
5461	Zenith Capitals Ltd.	Other financial services	Financial services i	0.09		0.09	1.43			
5462	Zillion Pharmachem Ltd.	Drugs & pharmaceuticals	Drug formulations				5.55			

Figure.3: The companies with their total assets as zero/blank/nil

By marking the slot of zero/blanks (Figure 3), we can identify those companies which having their total assets as zero/blank/nil and those companies were highlighted and removed from the screening process.

Sr.No.	Company Name	Industry group	Main product/service group	Cash balance	Bank balance	Loans & advances	Inv in PS+MF	8% of Inv in PS+MF	Cash+ Recv	Total income
1	20 Microns Ltd.	Minerals	Mineral Products	0.21	16.46	37.65	-	-	-	-
2	31 Infotech Ltd.	Computer software	Software services	0	12.34	177.54	579.47	-	-	-
5450	Wellwin Industries Ltd.	Other electronics	Process control eq	-	-	-	-	-	-	-
5451	Western Industries Ltd.	Drugs & pharmaceuticals	Drugs, medicines &	0.01	0.19	-	-	-	-	-
5452	Western Ministil Ltd.	Steel	Semi-finished Steel	-	-	-	-	-	-	-
5453	Willard India Ltd.	Other textiles	Jute & jute products	-	-	0.21	-	-	-	-
5454	Wilwayfort India Ltd.	Plastic films & flexible	Other sheets, films	0.03	0.01	0.3	-	-	-	-
5455	Wopolin Plastics Ltd.	Plastic packaging goods	Sacks & bags	0.01	0.2	0.56	-	-	-	-
5456	Xedd Telecom Ltd.	Trading	Trade in other markets	0.01	1.92	1.3	-	-	-	-
5457	Y K M Industries Ltd.	Trading	Trading in food products	0	4.54	0	-	-	-	-
5458	Yogi Healthcare Ltd.	Drugs & pharmaceuticals	Drug formulations	-	0.01	-	-	-	-	-
5459	Yogi Polyesters Ltd.	Man-made filaments	Polyester filament	-	-	1.06	-	-	-	-
5460	Yuvraj International Ltd.	Trading	Trade in other markets	-	-	-	-	-	-	-
5461	Zenith Capitals Ltd.	Other financial services	Financial services	-	0.01	1.05	-	-	-	-
5462	Zillion Pharmachem Ltd.	Drugs & pharmaceuticals	Drug formulations	-	0.01	3.66	-	-	-	-

Figure.4: The companies with their total income as zero/blank/nil

By marking the slot of zero/blanks (Figure 4), we find those companies which having their total income as zero/blank/nil and those companies were eliminated from entire list.

At the end of Primary screening, we could find the companies with the latest annual report and the companies with their total assets and total income. These companies (4437 companies out of 5462 companies) will be taken to the next stage of Shariah screening called Business Screening.

6.7.2 Business Screening

The companies (4437 companies) which have passed on the primary screening are considered for next level of screening called Business Screening. The main objective of Business Screening process is to exclude the companies which conducting their business activities in impermissible business not allowed under Shariah guidelines. At the end of Business screening process TASIS excludes,

- The companies which has their primary business as non-compliant,
- The companies which has their secondary business as non-compliant.

In the process of excluding the companies with primary business non-compliant, TASIS established the business structure were these kind of industry group are marked as primary business non-compliant. They are,

- Animation content provider,
- Auto financing services,
- Banking services,
- Beer & Alcohol,
- Exhibition of films,
- Hotels & Restaurants,
- Housing financing services,

- Infrastructural financing services,
- Media – Broadcasting,
- Media – Content,
- Other asset financing services,
- Other fee based financial services,
- Other financial services,
- Other fund based financial services,
- Other recreational services,
- Poultry & Meat products,
- Production & Distribution of Films,
- Securities broking,
- Tobacco products.

A general reason for exclusion of companies from the above mentioned industries is that Shariah conscious investors are commanded to participate in good things and work for righteousness. The products of many of the industries mentioned above have been specifically prohibited under Shariah guidelines.

To identify the course of action performed in Shariah screening process, TASIS has separate colour coding for each criterion. In order to that, the companies which have failed in their primary business non-compliant has been highlighted with “blue colour” while the “grey colour” highlighted the companies which failed in their secondary business non-compliant.

The following pictures will demonstrate the process of business screening.

Sr.No.	Company Name	Industry group	Main product/service group	ISIN code	NSE symbol	BSE group	BSE scrip code	BSE scrip id
1	2D Microns Ltd	Mineral Products	INE144J01027	ZOMICRONS	B	533022	ZOMICRONS	
2	3I Infotech Ltd	Software services	INE748C01020	3INFOTECH	B	532628	3INFOTECH	
3	3M India Ltd.	Diversified	INE470A01017	3MINDIA	B	523395	3MINDIA	
4956	Zenith Steel Tc	Tubes & pipes	INE016901014		P	526267	ZENITHSTL	
4957	Zenotech Labo	Drug formulations	INE486F01012		XT	532039	ZENOTECH	
4958	Zensar Techno	Software services	INE520A01019	ZENSARTECH	B	504067	ZENSARTECH	
4959	Zicom Electron	Trade in electrical	INE871B01014	ZICOM	B	531404	ZICOM	
4960	Zigma Softwar	Other asset financ	INE746C01032		B	532177	ZIGMASOF	
4961	Zodiac Clothi	Apparels (Ready	INE206B01013	ZODIACLOTH	B	521163	ZODIACLOTH	
4962	Zodiac Venture	Architectural serv	INE945J01027		XT	503641	ZODIACVEN	
4963	Zodiac-Ird-Mkj	Diamonds	INE077B01018	ZODIRDMKI	B	512587	ZODIRDMKI	
4964	Zuari Agro Che	Fertilisers	INE840M01016	ZUARI	B	534742	ZUARI	
4965	Zuari Global Lt	Trade in chemicals	INE217A01012	ZUARIGLOB	B	500780	ZUARIGLOB	
4966	Zyden Gentec	Drugs, medicines	INE622B01045		XT	530091	ZYDEN	
4967	Zydus Wellnes	Margarine	INE768C01010	ZYDUSWELL	B	531335	ZYDUSWELL	
4968	Zylog Systems	Software services	INE225I01026	ZYLOG	T	532883	ZYLOG	

Figure.5: Exclusion of the companies which involves in non-permissible businesses

By marking the slot of above-mentioned industry group (Figure 5), we came to know those companies which having their primary business as Shariah non-compliant. To identify

those companies which are failed in business screening, TASIS is highlighting those companies with blue colour.

The companies (1010 companies) which are failed in primary business Shariah compliant expect Coal India Ltd and Hind Industries Ltd¹⁶ were eliminated from the entire list. Once the companies clear the primary business screening, these companies were considered as primary business Shariah-compliant. However these companies were not approved as Shariah-compliant because they might have any secondary business as Shariah non-compliant which are prohibited under Shariah guidelines. Thus, these companies screened in secondary business non-compliant by verifying¹⁷ those companies with the previous month records of Secondary business non-compliant companies.

Sr.No.	Company Name	Industry group	Main product/service group	First trading date on BSE	BSE suspended from date	BSE suspended to date	Date of delisting from BSE			
1	20 Microns Ltd.	Minerals	Mineral Products	06-10-2008	N.A	N.A	N.A	Aditya Mills Ltd.		#N/A
2	3I Infotech Ltd.	Computer software	Software services	22-04-2005	N.A	N.A	N.A	Advance Metering Technology Ltd.		#N/A
3	3M India Ltd.	Diversified	Diversified	26-06-1991	N.A	N.A	N.A	Amrapali Industries Ltd.		#N/A
4	52 Weeks Entertainment Ltd.	Other asset financing serv	Other asset financing serv	19-08-1996	07-01-2015	09-12-2015	N.A	Arco Leasing Ltd.		#N/A
5	7Seas Entertainment Ltd.	Computer software	Software services	27-09-2010	N.A	N.A	N.A	Automobile Products Of India Ltd.		#N/A
6	8K Miles Software Services Ltd.	Computer software	Software services	02-09-1985	27-12-2001	11-01-2010	N.A	Bagalkot Udyog Ltd.		#N/A
7	A 2 Z Infra Engg. Ltd.	Business consultancy	Technical Consultancy &	23-12-2010	N.A	N.A	N.A	Bijoy Hans Ltd.		#N/A
8	A A R Commercial Co. Ltd.	Other financial services	Financial services includi	05-02-2016	N.A	N.A	N.A	Chambal Breweries & Distill		#N/A
9	A B B India Ltd.	Diversified machinery	Machinery	02-01-1981	N.A	N.A	N.A	Cupid Ltd.		#N/A
10	A B C Bearings Ltd.	General purpose machine	Ball or roller bearings	02-01-1981	N.A	N.A	N.A	D I L Ltd.		#N/A
11	A B C Gas (International) Ltd.	Trading	Trade in other manufact	11-11-1986	11-07-2012	17-07-2012	N.A	Dee Kartavya Finance Ltd.		#N/A
12	A B C India Ltd.	Transport logistics service	Cargo handling, incident	10-06-1994	N.A	N.A	N.A	Dhanleela Investments & Trc		#N/A
13	A B G Shipyard Ltd.	Other transport equipmen	Ships, boats, etc.	13-12-2005	N.A	N.A	N.A	Dharani Finance Ltd.		#N/A
14	A B M Knowledgeware Ltd.	Computer software	Software services	16-10-1995	N.A	N.A	N.A	Eastern Sugar & Inds. Ltd.		#N/A
15	A C C Ltd.	Cement	Cement	21-10-1937	N.A	N.A	N.A	Elegant Floriculture & Agrote		#N/A
16	A C E Edutrend Ltd.	Education	Education	10-05-1995	N.A	N.A	N.A	Emporis Projects Ltd.		#N/A

Figure.6: Exclusion of companies which are secondary business non-compliant

By comparing (Figure 6) the previous month list of secondary business non-compliant companies with latest month we find those companies which fails in secondary business non-compliant. To identify those companies which are failed in secondary business non-compliant colouring those companies with grey colour.

The companies (80 companies) which are failed in secondary business Shariah compliant including Shivansh Finserve Ltd¹⁸ were removed from the screening process.

At the end of Business screening, TASIS consolidates the list of companies which have passed in the primary and business non-compliant. These companies (3347 companies out of

¹⁶ Coal India Ltd and Hind Industries Ltd were reviewed by TASIS thoroughly and certified them as primary business Shariah compliant.

¹⁷ As TASIS updating their database regularly, it is easy to identify the companies which has failed in Secondary business Shariah compliant. Those companies were verified by personal websites, Prowess database provider and with the related stock exchanges.

¹⁸ Shivansh Finserve Ltd was identified as the secondary business Shariah non-compliant as of February month.

4437 companies) were taken to the next stage of Shariah screening process called “Financial Screening”.

6.7.3 Financial Screening

Since interest-based transactions are prohibited by Shariah, companies passing the business screening stage are further screened to ensure that their dealings involving interest-based debt or earnings out of / deployment of funds on interest are within the maximum tolerance limits set by Shariah scholars. There are certain variations in these tolerance limits influenced by geographical factors. To remain on the conservative side from a Shariah perspective, TESIS has adopted financial screening norms which are more conservative than those followed by its peers and also justified by empirical studies of the Indian environment. TESIS financial screening norms are given below:

- Total interest-bearing debt (including from banks, financial institutions, public deposits and inter-corporate deposits) and issued preference capital should not be greater than 25% of their total assets,
- Interest income from all sources and 8% of interest-based investments should not exceed 3% of their total income,
- Receivables and cash & bank balance should not be greater than 90% of their total assets.

Before entering into the demonstration process of the financial ratio screening, we should aware about the formulae structure performed by TESIS in the financial ratio screening.

Title	Formulae
Debt to Total Assets	Total Debt / Total Assets * 100
Interest Income + 8% of Interest based Investment Income / Total Income	Total Interest Income / Total Income * 100 (were Total Interest Income = Interest Income + 8% of Interest based Investment Income)
Cash + Receivables / Total Assets	Cash + Receivables / Total Assets * 100
Interest Income Outstanding Shares	Total Interest Income * 10 ⁶ / Shares outstanding

Formulae structure of TESIS

Sr.No.	Company Name	Industry group	Main product/service group	Date of delisting from BSE	Debt to Total Assets	Int Income+8 % Inv income/Total Income	Cash+Recv /Total Assets	Int Income O/S Share	Debt to Total Assets<=25	Int Income+8 % Inv income/Total Income<=3	Cash+recv/ Total Assets<=90	Combined Ratio
1	20 Microns Ltd.	Minerals	Mineral Produ	N.A	47.03	0.20	19.50	0.20	0	1	1	0
3333	Zenith Fibres Ltd.	Trading	Trade in other	N.A	74.10	4.46	26.59	3.23	0	0	1	0
3334	Zenith Health Care Ltd.	Steel pipes &	Tubes & pipes	N.A	2,538.98	0.13	33.53	0.03	0	1	1	0
3335	Zenith Infotech Ltd.	Drugs & pharm	Drug formulat	N.A	101.98	4.55	10.10	0.06	0	0	1	0
3336	Zenith Steel Tubes & Inds. Lt	Computer sof	Software serv	N.A	0.30	0.80	73.69	2.00	1	1	1	1
3337	Zenotech Laboratories Ltd.	Trading	Trade in elect	N.A	26.00	0.66	31.89	1.28	0	1	1	0
3338	Zensar Technologies Ltd.	Readymade g	Apparels (Rea	N.A	17.56	0.79	13.75	1.37	1	1	1	1
3339	Zicom Electronic Security Sys	Business cons	Architectural	N.A	21.06	-	0.25	-	1	1	1	1
3340	Zodiac Clothing Co. Ltd.	Gems & jewel	Diamonds	N.A	-	3.38	17.13	1.35	1	0	1	0
3341	Zodiac Ventures Ltd.	Fertilisers	Fertilisers	N.A	53.56	0.57	61.46	7.57	0	1	1	0
3342	Zodiac-Jrd-Mkj Ltd.	Trading	Trade in chem	N.A	9.23	28.05	0.80	7.65	1	0	1	0
3343	Zuari Agro Chemicals Ltd.	Drugs & pharm	Drugs, medic	N.A	40.21	42.09	24.11	1.20	0	0	1	0
3344	Zuari Global Ltd.	Vegetable oil	Margarine	N.A	-	8.17	60.34	5.06	1	0	1	0
3345	Zyden Gentec Ltd.	ancial services	ment services	N.A	-	8.33	36.22	1.93	1	0	1	0
3346	Zydus Wellness Ltd.	meat products	it of buffaloes	N.A	47.87	0.33	17.12	0.23	0	1	1	0
3347	Zylog Systems Ltd.	Computer sof	Software serv	N.A	66.84	0.03	40.39	0.02	0	1	1	0

Figure.7: The format structured by TASIS for Financial ratios screening

As we discussed earlier, this (Figure 7) is the structured template formatted by TASIS for financial screening.

6.8 COMBINATION OF DEBT, INTEREST INCOME + 8% OF INTEREST BASED INVESTMENT AND RECEIVABLES + CASH RATIOS

Once the entire financial ratios were structured, we can assess the combined effect of using all three ratios on the aspect of easing hardship and providing a reasonable choice to investors to build a viable portfolio while still allowing only a tolerable deviation from Shariah principles. Simultaneously setting the maximum limit for Shariah compliance for the Debt ratio at 25%, Interest Income + 8% of interest based Investment ratio at 3% and that for Receivables + Cash ratio at 90%, we find those companies qualify as Shariah compliant.

The results we get from combined ratio will be the key to find whether the specific company is a Shariah compliant or not¹⁹.

In financial screening we will find those companies which have failed in the combined ratio, those companies which have failed in their investment schedule will be marked and eliminated from the entire list.

The following pictures will demonstrate the process of financial ratio screening.

¹⁹ Those companies which results in “zero” were failed in financial ratios screening. Meanwhile, the companies which results in “one” are passed in the financial ratio screening.

Sr.No.	Company Name	Industry group	Main product/service group	Date of delisting from BSE	Debt to Total Assets	Int Income+8 % Inv income/Total Income	Cash+Recv /Total Assets	Int Income O/S Share	Debt to Total Assets<=25	Int Income+8 % Inv income/Total Income<=3	Cash+recv/ Total Assets<=90	Combined Ratio
3303	Winsome Textile Inds. Ltd.	Drugs & pharma	Drug formulation	N.A	0.65	0.16	11.15	0.05	1	1	1	1
3306	Wipro Ltd.	ITES	Information technology	N.A	11.88	-	37.34	-	1	1	1	1
3307	Wires & Fabriks (S.A.) Ltd.	Drugs & pharma	Drug formulation	N.A	24.14	0.32	22.02	0.68	1	1	1	1
3309	Wockhardt Ltd.	Other textiles	Knitted / croch	N.A	21.52	0.53	73.58	2.14	1	1	1	1
3314	Xchanging Solutions Ltd.	Trading	Trade in textile	N.A	-	-	4.00	-	1	1	1	1
3318	Yash Papers Ltd.	Business cons	Renting service	N.A	23.40	-	11.49	-	1	1	1	1
3319	Yashraj Containers Ltd.	Trading	Trade in other	N.A	3.82	0.23	53.48	0.17	1	1	1	1
3321	Yogya Enterprises Ltd.	General purpose	Pumps	N.A	20.09	0.22	33.43	1.50	1	1	1	1
3322	York Exports Ltd.	Infrastructure	Infrastructure	N.A	9.35	-	3.27	-	1	1	1	1
3324	Yuranus Infrastructure Ltd.	Other automotive	Steering gear	N.A	6.70	1.06	16.51	4.44	1	1	1	1
3330	Zenith Birla (India) Ltd.	Other textiles	Textiles	N.A	24.27	0.11	29.66	0.54	1	1	1	1
3331	Zenith Computers Ltd.	Man-made filaments	Polypropylene	N.A	1.85	2.22	59.26	3.75	1	1	1	1
3332	Zenith Exports Ltd.	Drugs & pharma	Drug formulation	N.A	-	1.03	38.29	0.01	1	1	1	1
3336	Zenith Steel Tubes & Inds. Ltd.	Computer software	Software service	N.A	0.30	0.80	73.69	2.00	1	1	1	1
3338	Zensar Technologies Ltd.	Readymade garments	Apparels (Ready)	N.A	17.56	0.79	13.75	1.37	1	1	1	1
3339	Zicom Electronic Security Systems Ltd.	Business consulting	Architectural	N.A	21.06	-	0.25	-	1	1	1	1

Figure.8: The companies which passed in financial ratios screening

Out of 3347 companies only 1189 companies were passed (Figure 8) in the financial ratios screening and other companies were failed²⁰ in financial screening.

Sr.No.	Company Name	Industry group	Cash+Recv/Total Assets	Int Income O/S Share	Debt to Total Assets<=25	Int Income+8% Inv income/Total Income<=3	Cash+recv/Total Assets<=90	Combined Ratio		
1	3M India Ltd.	Diversified	25.81	0.59	1	1	1	1	Aankit Granites Ltd.	#N/A
2	8K Miles Software Services	Computer software	33.79	0.26	1	1	1	1	Accentia Technologies	#N/A
3	A B B India Ltd.	Diversified machine	49.08	0.67	1	1	1	1	Access Global Ltd.	#N/A
4	A B M Knowledgeware Ltd.	Computer software	63.58	1.30	1	1	1	1	Advance Steel Tubes Ltd.	#N/A
5	A C C Ltd.	Cement	8.59	8.30	1	1	1	1	Agarwal Bolts Ltd.	#N/A
6	A C E Edutrend Ltd.	Education	0.76	0.07	1	1	1	1	Allsoft Corporation Ltd.	#N/A
7	A C E Tours Worldwide Ltd.	Tourism	47.57	0.01	1	1	1	1	Annapurna Projects Ltd.	#N/A
8	A D F Foods Ltd.	Processed foods	21.61	0.54	1	1	1	1	Aqua Logistics Ltd.	#N/A
9	A G I Infra Ltd.	Other construction	10.52	0.07	1	1	1	1	Asian Fertilizers Ltd.	#N/A
10	A I A Engineering Ltd.	Castings & forging	19.07	5.19	1	1	1	1	Assambrook Ltd.	#N/A
11	A N S Inds. Ltd.	Processed foods	8.90	0.04	1	1	1	1	Associated Ceramics Ltd.	#N/A
12	A P M Industries Ltd.	Man-made filaments	11.86	2.88	1	1	1	1	Auckland International	#N/A
13	A V I Photochem Ltd.	Trading	35.64	-	1	1	1	1	B C P L Intl. Ltd.	#N/A
14	A V I Polymers Ltd.	Trading	48.37	0.02	1	1	1	1	Baffin Engineering Projects	#N/A
15	A V T Natural Products Ltd.	Other agricultural	22.40	0.05	1	1	1	1	Bala-Bestos (India) Ltd.	#N/A
16	Aadhaar Ventures India Ltd	Trading	12.03	0.00	1	1	1	1	Bansions Tea Inds. Ltd.	#N/A

Figure.9: Exclusion of companies which failed in Investment schedule

By comparing (Figure 9) the previous month list of the companies which failed in their investment schedule with this month, we can easily identify those companies which fails in their investment schedule. To identify those companies which are failed in their investment schedule, TASIS colouring those companies with brown colour.

The companies (91 companies) which are failed in their investment schedule were eliminated from the entire list. After eliminating the companies which are failed in financial ratios screening and in their investment schedule 1098 companies were finalized for the next stage were the suspended companies from the stock exchange will be eliminated from the Shariah list.

²⁰ It is not necessary to fail in all the three ratios, failing in any one ratio will declare as Shariah non-compliant.

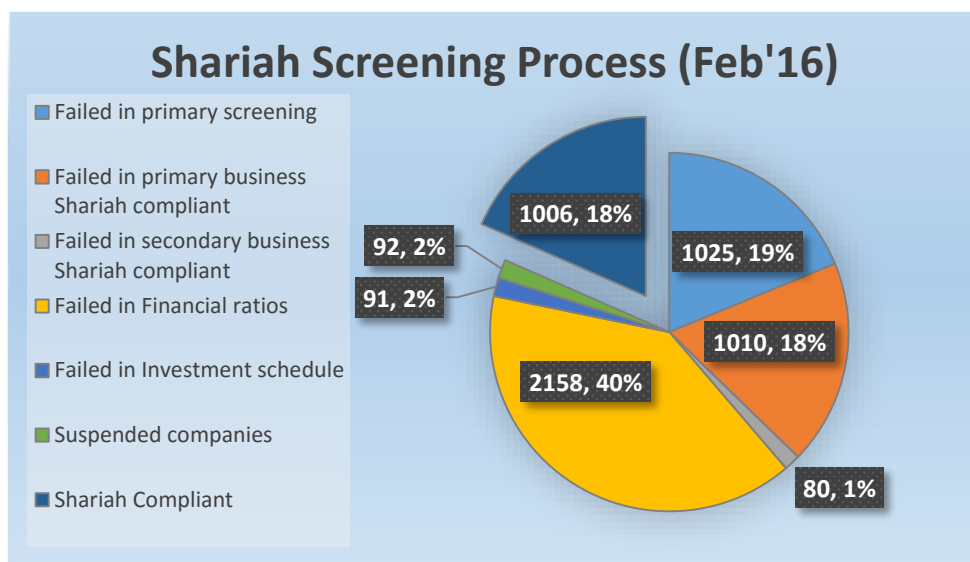
From the previous month Shariah list, we came to know that 92 companies were suspended due to any penal issues or delisted from the stock exchanges. As TASIS reviewing every month, it is easy to identify those companies which are suspended from the stock exchanges.

Sr.No.	Company Name	Industry group	Main product/service group	ISIN code	NSE symbol	BSE group	BSE scrip code	BSE scrip id	Year
1	3M India Ltd.	Diversified	Diversified	INE470A01017	3MINDIA	B	523395	3MINDIA	31-03-2015
2	8K Miles Software Services Ltd.	Computer software	Software services	INE650K01013	8KMILES	B	512161	8KMILES	31-03-2015
995	Wisec Global Ltd.	ITES	Information technology	INE638C01015	WESTINDSEC	XT	511642	WISEC	31-03-2015
996	Wockhardt Ltd.	Drugs & pharmaceuticals	Drug formulations	INE049B01025	WOCKPHARMA	A	532300	WOCKPHARMA	31-03-2015
997	Yantra Natural Resources Ltd.	Trading	Trade in textiles	INE903B01023		XD	531693	YANTRA	31-03-2015
998	Yogya Enterprises Ltd.	Trading	Trade in other manufac	INE904R01019		M	539097	YOGYA	31-03-2015
999	Yuken India Ltd.	General purpose machi	Pumps	INE384C01016	YUKENINDIA	XD	522108	YUKEN	31-03-2015
1000	Z F Steering Gear (India) Ltd.	Other automobile ancill	Steering gears	INE116C01012	ZFSTEERING	B	505163	ZFSTEERING	31-03-2015
1001	Zenith Exports Ltd.	Other textiles	Textiles	INE058B01018	ZENITHEXPO	B	512553	ZENITHEXPO	31-03-2015
1002	Zenith Fibres Ltd.	Man-made filaments &	Polypropylene fibre	INE106C01013		XT	514266	ZENIFIB	31-03-2015
1003	Zenith Health Care Ltd.	Drugs & pharmaceuticals	Drug formulations	INE812B01026		XT	530665	ZENITHHE	31-03-2015
1004	Zensar Technologies Ltd.	Computer software	Software services	INE520A01019	ZENSARTECH	B	504067	ZENSARTECH	31-03-2015
1005	Zodiac Clothing Co. Ltd.	Readymade garments	Apparels (Readymade	INE206B01013	ZODIACLOTH	B	521163	ZODIACLOTH	31-03-2015
1006	Zodiac Ventures Ltd.	Business consultancy	Architectural services	INE945J01027		XT	503641	ZODIACVEN	31-03-2015
	1006								

Figure.10: The companies which considered as the Shariah compliant

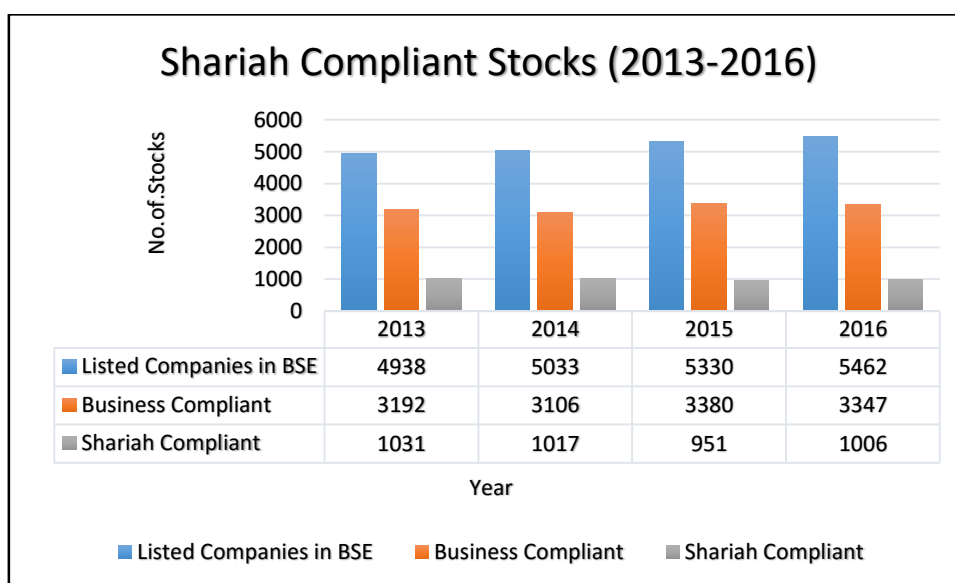
After eliminating those suspended companies, the list of Shariah compliant companies (1006 companies) listed in Bombay Stock Exchange (BSE) were finalised and uploaded in the TASIS database and forwarded to the required clients.

From 5462 companies listed in the Bombay Stock Exchange (BSE) on February' 2016, 1006 companies were finalised as Shariah Compliant companies. The following diagram will provide the overview of Shariah Screening process for February' 2016. The study shows from 5462 companies, 1025 companies were failed in primary screening, 1010 companies failed in primary business Shariah compliant, 80 companies failed in secondary business Shariah compliant, 2158 companies failed in financial ratios, 91 companies failed in Investment schedule, 92 companies were suspended from the BSE and 1006 (18%) companies were Shariah Compliant companies for the month of February' 2016.



Shariah Screening Process for the month February' 2016

The below chart provides the recent four years details of Shariah Compliant companies listed in BSE.



Shariah Compliant Stocks (2013-2016)

The final Shariah list guides the clients to invest in these Shariah Compliant companies. As the business activities of these companies may change, the company which listed as Shariah compliant this may become Shariah non-compliant. Therefore, TASIS reviewing the Shariah Screening process of these companies every month and update the final Shariah list to the required clients every month.

As the interest income of these companies in the Shariah list were allowed up to 3%, it is required to remove the impure income. Therefore, the process of Purging comes into play.

Shariah scholars have laid down that the Shariah non-complaint portion of revenues received by Shariah-complaint investment universe must be cleansed. The impure income has to be given to charity or avenues of public interest.

Apart from the Shariah screening, it is also imperative for an ethical investor to donate his share of the impure income earned by a company in the shares of which he has invested. This is unavoidable in case of most listed companies due to interest being ingrained in the modern financial system and Islamic banking being as yet in a nascent stage. The process of removing the interest income from the total income is known as interest purification or interest purging. It is one of the important requirements of the Shariah way of investment.

Globally, institutions are using different methodologies for interest purging, according to their own lights and convenience. This is because there is no central regulatory authority which is universally accepted. The methods used are generally approved by the Shariah Boards of the respective institutions. The purification can be either of interest income only or of different kinds of impure income, purification of dividends, purification of capital gains or a fixed amount of purification.

TASIS follows a method of purification where only the interest income is considered for purification, as the other kinds of impure income are automatically taken care of in the initial screening on business activity. The methodologies followed by various reputed institutions are given in the following table.

Summary of purification criteria by different screening organisations is as follows:

Screening Organisation	Method of Purification	Period for purification
Dow Jones Islamic Market Index	DJ does not have a methodology for interest purification.	Not applicable
S&P Shariah Index Series	A ratio is provided to investors for purification purposes in case of each company. Impure income is calculated as: $\text{Dividend} * (\text{Non Permissible Revenue} / \text{Total Revenue})$	The purification has to be done on the basis of dividends.
TASIS	Interest income to be purged is calculated as total interest income earned per day divided by outstanding number of shares. The result is communicated to the investor who has to multiply the ratio by the number of shares owned by the investor and the number of days for which the shares were held.	The purification is done for each Shariah compliant company on the basis of the latest available financial data for each relevant period

Purification criteria by different screening organisations

According to TESIS, purification of income is imperative ***for the investor who had the ownership of any scrip/company when the interest was earned***. He needs to donate the pro rata amount of interest income earned per share by the company for the relevant holding period, irrespective of whether the company has made profits or not, and whether the company has declared dividends or not. This impure income must be donated immediately on declaration of results. Since, the interest income data for Indian companies is available only with the yearly financial results, the interest purging has to be done for the relevant period of operations as and when the results for that year are declared by the company.

6.9 PROCESS OF PURIFICATION FOLLOWED BY TESIS

TESIS follows a system for purification which is logical, equitable and does not contain any loopholes. It gives clarity to all investors whether individual investors, corporates, mutual funds, venture funds or others. The purification is carried out for the latest available financial data. Since the quarterly results do not provide interest income details, TESIS carries out the calculation of the interest purification ratio for every financial period for each listed Shariah compliant stock as soon as the audited data becomes available.

In case the investor needs the purging for a specific portfolio the same method is followed for the stocks in his portfolio, taking into account the relevant holding periods for the various stocks. The ultimate objective of Purging is to remove the all source of Interest income earned from the holdings of the company. Once the process of Purging is completed and given to the charity, then the income received from the company become permissible in light with Shariah guidelines.

CHAPTER 7: CONCLUSION

7.1 INTRODUCTION

To summarize, the research study displays the concept of Finance and Islamic Finance with its key principles, its products/services, and the emergence of Islamic Capital Market in detail.

This research study explores the Screening process of Shariah Compliant Stocks performed by TAQWAA ADVISORY AND SHARIAH INVESTMENT SOLUTIONS (P) LTD, having analyse the screening standards framed for business and financial screening in the research study, and the following conclusions were drawn.

7.2 FINDINGS

The findings suggests in comparison with other global standards, TESIS has framed its financial ratios less than various other standards. This results in finding the most effective Shariah Compliant Stocks. Regarding the nature of business, the companies considered acceptable has to be fully Shariah compliant but there may be chances that the company may or may not be completely Shariah compliant. A company with diversified businesses, with even a minor Shariah non-compliant business, needs to be considered as unacceptable. Similarly, a subsidiary of a company which is in a non-complaint business should also be termed as unacceptable, irrespective of its own business activity. The performance of Shariah compliant stocks were improving dynamically. The use of total assets as per TESIS standards in the screening, financial ratios are appropriate and effective instead of considering market capitalization.

7.3 CHALLENGES FACED DURING THE STUDY

- Finding specific business of a company which is Shariah non-compliant. According to current norms set by TESIS, the elimination of the company's is done on the basis of primary industries group. (Example: Hotel and Restaurants).
- In present scenario, Shariah scholars are unaware about the exact market conditions and also the activity of a particular company falling under a particular industry group. For Example, there may be a question that a poultry and meat company may be halal on the basis of primary business activity but what if its subsidiary is

Shariah non-compliant. This will lead to the incompatibility of Shariah rules and may give false results.

7.4 SUGGESTIONS

- The final results of the Shariah list should be an accurate rating in the form of percentage which will benefit the investor to find the actual performance of the Shariah compliant companies. (95%: Consistent Shariah compliant in recent years).
- There should be a clear comparisons among the Shariah compliant companies. This will provide the consistency and proficiency as a Shariah compliant.
- The awareness about the Shariah compliant companies should be promoted by TESIS.
- Islamic Finance industry has shown a promising growth over a decade and many countries across the world has opened the door for Islamic Finance. There is a need for Indian government to work towards this direction.
- As of now there is no Islamic Bank formed in India, but there is an ample opportunity and potential for Shariah compliant products in Islamic Capital Market. Corporate should consider this prospect and launch Shariah compliant in India.

7.5 CONCLUSION

The present study empirically analysed the complete process of Screening of Shariah Compliant Stocks performed by TESIS in order to the companies listed in Bombay Stock Exchange (BSE) for the month of February' 2016. Financial institutions like Mutual Funds, Insurance, Portfolio management services, etc can use these Shariah compliant stocks to build profitable Shariah compliant investment portfolios and offer Shariah compliant investment products to both Ethical and Shariah conscious investors. Shariah compliant stocks will be a perfect platform for both Ethical and Shariah conscious investors to invest their funds in the companies which is free from alcohol production, tobacco manufacturing, and other socially harmful activities or business.

The best part of Islamic Financing is that no one party can gain benefit over the loss of another and this why it is so far more superior to conventional financial system. Regarding Islamic Banking, it doesn't put any burden on the person who is taking the loan. They don't

have to worry for paying an amount over and above the principal as the time frame is already fixed. This will be the key reason for people do prefer Islamic Banking over its counterpart.

Globally, Islamic Finance has been emerging dynamically. More than 80 countries have Islamic banks, of which only 45 are Muslim countries, the rest being non-Muslim nations. This means that the world is moving towards this new interface and the Financial World is now seeing a totally new form financing. This proves that Islamic Financial system can be used by everyone who thinks ethically. The prospective of Islamic Equity Market improving in recent years. The performance of Shariah compliant stocks is a strong sign for the growth of Islamic Finance in India.

Even though there are some advantages and disadvantages of both systems, a lot depends on the nature of the country, the financial institution, how they are operating and their current position in the economy of a certain region. However, looking at the past experience and the realities, conventional finance and banking system is very slowly and gradually changing and tilting towards Islamic Finance.

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